UNGA GROUP PLC

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2017

Table of contents

CORPORATE INFORMATION

DIRECTORS	I Ochola-Wilson (Mrs)	-	Chairman
	N C Hutchinson*	-	Group Managing Director
	A McKittrick		
	A S M Ndegwa		
	P K Mugambi	-	(Alternate to A S M Ndegwa)
	V O Ojode		
	J K Kibet		
	P O Obath		
	S Haria (Ms)	-	(Appointed on 29 September 2016)
	*British		

SECRETARY

Ms Winniefred N Jumba
Certified Public Secretary (Kenya)
Livingstone Associates
Deloitte Place, Waiyaki Way, Muthangari
P O Box 30029, 00100
Nairobi

REGISTERED OFFICE

Plot No.209/6841
Ngano House, Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi
Tel: +254(020)3933000

REGISTRARS

Custody & Registrars Services Limited
6th Floor, Bruce House
Standard Street
P O Box 8484, 00100
Nairobi

AUDITORS

PricewaterhouseCoopers
Certified Public Accountants (Kenya)
PwC Tower, Waiyaki Way/ Chiromo Road, Westlands
P O Box 43963, 00100
Nairobi

BANKERS

Barclays Bank of Kenya Limited
The West End, Waiyaki Way
P O Box 30120, 00100
Nairobi

ADVOCATES

Kaplan & Stratton
Williamson House

4th Ngong Avenue
P O Box 40111, 00100
Nairobi

DIRECTORS' REPORT

The directors submit their report together with the audited financial statements for the year ended 30 June 2017, which disclose the state of affairs of Unga Group Plc (formerly Unga Group Ltd) (the "Company").

PRINCIPAL ACTIVITIES

The principal activities of the Group continue to be the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products.

BUSINESS REVIEW

The Kenyan business environment was characterised by maize grain supply challenges caused by the region-wide drought and increased political activity as a build up to the August 2017 general election. Government intervention through duty free importation and subsidy programs did not significantly improve maize grain supply until the last few weeks of the financial year. Wheat grain supply and price was stable throughout the period.

The Ugandan subsidiary continued to face challenges from increased competitive pressure leading to depressed selling prices. Its profitability was also impacted by significant bad debt provisions and local currency depreciation against the US dollar, resulting in an unsustainable operating loss for the year. Milling operations have subsequently been suspended while the Company evaluates its options going forward, which has necessitated the reporting of the entity as a discontinued operation.

The bakery business was impacted by operational and distribution challenges resulting to reduced sales revenue and a significant operating loss for the year. It was also negatively impacted by credit challenges facing the retail sector resulting in delayed and, in the case of Nakumatt, non-payment of aged debt. The Group consequently discontinued operations in most Nakumatt outlets where it had in-store bakeries. This resulted in a goodwill impairment of Shs 151 million. After confirmation of the strategic need to move into value-added businesses, the Board reached an agreement with the minority shareholders to purchase the 48% non-controlling interest (NCI). The agreed consideration for the 48% NCI resulted in a gain of Shs 153m. The goodwill impairment was booked in the Statement of profit or loss while the gain on acquisition of the NCI was recognised directly in retained earnings within shareholders equity.

Group sales volume increased by 3.3% while revenue grew by 3.1% in line with the volume increase coupled with sales mix changes. Wheat and porridge grew by 10% and 6% respectively while maize dropped by 2%. Wheat volume growth was mainly driven by competitive pricing, a continually improving route-to-consumer model and increased demand due to the maize scarcity. The growth in porridge volumes was driven by marketing and promotion activities while maize volumes were negatively impacted by grain scarcity. Broiler feeds volumes dropped by 26% over prior year as a consequence of the portfolio being temporarily priced at an unusually high premium above competitive alternatives, while dairy and layer feeds volumes grew by 20% and 6% respectively

Operating profit declined by 71.7%, selling and general administrative expense having grown by 11.2% mainly due to increased marketing spend, staff costs and depreciation of the new ERP system.

Profit before tax declined by 73.9% as a result of decline in operating profit and increased finance cost.

Summary financial performance

	2017 Shs'000	2016 Shs'000
Revenue	19,528,785	18,947,944
Gross profit	2,243,318	2,213,261
Gross profit margin	11%	12%
Operating profit	201,800	714,328
Profit for the year from continuing operations	86,665	511,476
Loss for the year from discontinued operations	(118,951)	(2,660)
(Loss)/ profit for the year	(32,286)	508,816
Total assets	10,267,471	9,199,783

RESULTS AND DIVIDEND

The profit attributable to equity holders of Shs 20,961,000 (2016: Shs 327,031,000) has been added to retained earnings. The directors recommend payment of a first and final dividend of Shs 1.00 (2016: Shs 1.00) per share amounting to Shs 75,706,986 (2016: Shs 75,706,986) in respect of the financial year. The dividend is subject to approval by the shareholders at the next Annual General Meeting.

DIRECTORS

The directors who served during the year and to the date of this report are set out on page 1.

DISCLOSURES TO AUDITORS

The directors confirm that with respect to each director at the time of approval of this report:

a) there was, as far as each director is aware, no relevant audit information of which the company's auditor is unaware; and

(b) each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

TERMS OF APPOINTMENT OF AUDITORS

PricewaterhouseCoopers continue in office in accordance with the Company's Articles of Association and Section 721 of the Kenyan Companies Act, 2015.

The Board Audit and Risk Committee (BARC) monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and fees.

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 28 September 2017.

By order of the Board

Winniefred N Jumba

SECRETARY

CHAIRMAN'S STATEMENT

Dear Shareholder,
I am pleased to present to you the Unga Group Plc Annual Report and Financial Statements for the year ended 30 June 2017.

Unga Group Plc remains amongst the leading Human and Animal Nutrition companies in Kenya, recording an average annual revenue growth rate of 6% between 2014 and 2016. However, the operating environment in 2016-17 was challenging for most businesses characterized by political uncertainties, tight credit and region-wide drought that resulted in serious shortages of one of our key raw materials, maize. Against these difficult conditions, sales volume grew 3.3% and revenue by 3.1%.

Economic Landscape

The economic environment in two of the East African countries in which Unga operates remained fairly stable. In Kenya, the economy grew by 5.8% while overall year-on-year inflation was 9.2% as of June 2017. Agriculture contracted 1.7% amid poor rains that affected crop production and animal rearing; maize declined in production by 12.7% from the previous year due to drought, the high cost of farm inputs and residual effects of maize necrotic virus disease, while wheat production declined by 6.8%. Uganda's economy recorded an annual growth of 3.9% with all sectors experiencing slower growth compared to the previous year; the annual inflation rate was 6.4% in June 2017.

Performance in a challenging operating environment

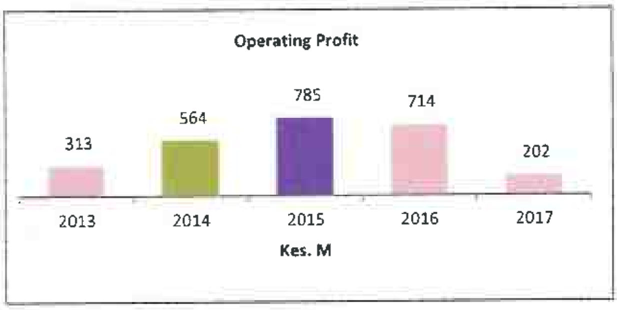
In a year characterised by shortage of raw materials, aggressive and ever increasing competition, unstable supermarket chains and electioneering, our wheat and porridge brands delivered strong volume growth of 10% and 6% respectively, whilst maize brand volumes dropped by 2% compared with the previous year. During the year we introduced new packaging for the porridges portfolio, accompanied by a strong marketing and promotional campaign, which delivered the strong results. The growth of wheat products was driven mainly by higher demand in the face of maize flour scarcity, a continually improving route-to-consumer model as well as competitive pricing.

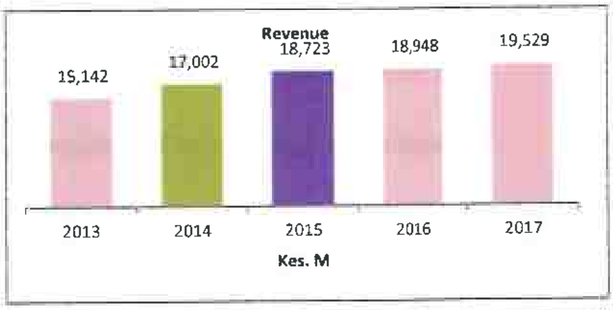
Performance in the Animal Feeds business saw volume growth of 18% and 5% for the Dairy and Layer feeds respectively while Broiler feed volumes declined by 25%, primarily due to unfavorable pricing when compared with lower quality and cheaper products produced by small millers.

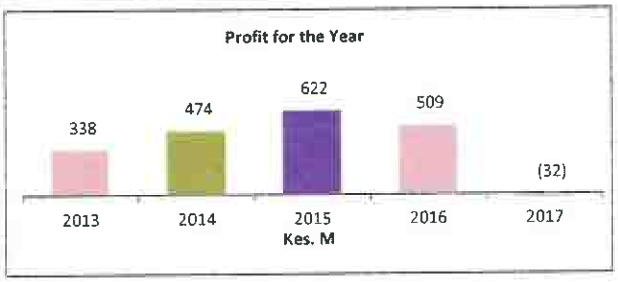
A significant part of Ennsvalley Bakery Limited's business was anchored in its in-store bakery operations in a large number of Nakumatt stores, a relationship that has existed for several years. In 2016-17, the business was negatively impacted by credit challenges facing the retail sector forcing us to exit from most Nakumatt outlets in order to put an end to the ever increasing debt level. This however substantially reduced sales both from the shelves and from the counters. Whilst management immediately embarked on a strategy to grow volumes and revenue through a direct distribution channel, the significantly reduced operations resulted in a goodwill impairment of Shs 151 million.

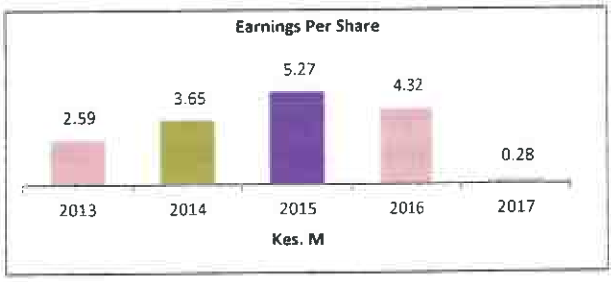
The Board nevertheless remains committed to its pursuit of value-added opportunities in the bakery sector and now owns 100% of Ennsvalley Bakery Limited, having reached an agreement with the minority shareholder to purchase their entire non-controlling interest (NCI) in the company. The agreed consideration resulted in a gain of Shs 153m. The goodwill impairment was booked in the Statement of Profit or Loss while the gain on acquisition of the NCI was recognised directly in retained earnings within shareholders equity.

In Uganda, our business continued to be faced by a challenging business environment and sustained price wars that saw the business record operating losses for the third consecutive year. Bad debt provisions and local currency depreciation against the US dollar significantly worsened the company's performance. The Board consequently reviewed the existing Ugandan business and reached a decision to cease flour milling operations while it evaluates available business re-modelling options going forward. We are therefore reporting the entity as a discontinued operation. In order to reduce employee-related costs, the company carried out a staff rationalisation program at Ennsvalley prompted by the exit from most Nakumatt stores. This, coupled with increased marketing expenditure and the significant depreciation cost associated with the commissioning of a new ERP system, resulted in a 72% decline at the Operating Profit level. In line with this, Profit after tax recorded a 106% drop compared to the previous year.









The year 2016-17 was a mixture of highs and lows. Amongst the highs, we commenced the construction of a new wheat mill in Eldoret in order to respond to capacity constraints and a growing demand for wheat products, we completed the upgrading of our grain storage silos in Nairobi and Eldoret, we redesigned the packages of our porridge brands to give us high visibility on the shelves, and also launched 1kg packs for **Hostess®**, **Exe®** Mandazi and **Exe®** Atta Mark 1 in order to drive volumes in the price sensitive consumer category.

In the animal feed business we diversified from our traditional livestock portfolio into a new market segment. We recognise the need to engage with strategic partners to drive our brand equity and penetration across our region of operation and do so through continuous engagement with suppliers and established organisations such as Nutreco, a global leader in animal nutrition and aqua feed. We have partnered with Nutreco's subsidiary Skretting to leverage on their technical expertise in the production of quality fish feed. A fish feed production facility was commissioned in March 2017 with a view to a full market roll out of a portfolio of tilapia feeds in 2017-18.

In spite of the unfavourable results we continue to do our best to give our shareholders a return on their investment, while we strive to strengthen the business for future growth. We propose to pay a dividend for the year ended 30 June 2017, making this the eighth consecutive year we have done so.

The Journey Ahead

Looking forward and continuing with our transformation agenda to align ourselves to the changing consumer and market needs, the aim of the Board and management is to see Unga quickly return to growth and profitability. To accomplish our objective, we shall be focusing in implementing our 2017-2021 strategic plan and strictly adhering to the planned initiatives and timelines therein in order to accelerate sales growth, improve productivity and empower our organisation and culture to deliver sustained, exceptional performance.

Some of the key initiatives that we shall undertake will entail product rationalisation, entry into new growth areas and new investments that will see us make entry into new human food business segments and strengthen our animal feed business locally and regionally. To enhance our communication technology across the business we are increasingly using online tools which enable us to collect regular feedback from our customers and assess the impact of our initiatives so as to get closer to and improve the overall customer experience.

Organisational Culture Transformation

In recognition of the fact that our success depends upon the people who carry out our vision and build our products i.e. our employees, we embarked on a culture transformation journey in 2016-17. The main objective was to align our employees with our strategic direction, enhance healthy interactions within the workplace and extract the best out of every employees by identifying performance gaps as well as areas of success. To understand the key competencies of our employees, we undertook an extensive competency evaluation exercise and, based on the results, we have put in place career development plans, an improved succession planning process and developed leadership and sales competency frameworks.

Corporate Governance

The Board has fully embraced the 'Code of Corporate Governance Practices for Issuers of Securities to the Public' in line with the requirements of the Capital Markets Authority. For example, Board appraisal is now conducted annually and its findings openly discussed with a view to strengthening its responsibilities and effectiveness. In future such appraisals shall be conducted by an external independent consultant. The Board continues to review its structure in order to have diversity and competencies which are aligned to its strategy.

Sustainability

Over the years, we have undertaken key initiatives to ensure we continue to operate in an eco-friendly environment whilst providing the best possible care to our members of staff. At the beginning of this financial year, we embarked on a number of initiatives the first being the metering of our key subsystems which has been completed. In addition, we have also completed the installation of variable speed drives at fans at Unga Limited. A similar project is in progress at Unga Farm Care (EA) Limited which we expect to be complete by the end of June 2018. The installation of online oxygen analyzers on boiler chimneys has begun; in the interim we are using portable flue gas analyzers.

This year we once again met the statutory requirements relating to energy management, environmental impact, industrial and fleet safety and health and wellness.

Outlook

We are aware that there will continue to be challenges. According to the World Bank's Kenya Economic Update, Kenya's GDP growth is projected to decelerate to 5.5% in 2018. Poor rains and drought are expected to lead to a continued grain shortage, food insecurity and higher energy costs while the prevailing credit squeeze in the banking industry is likely to continue. The Kenya Shilling is also expected to depreciate by 3% by June 2018 on account of slowed inflows around the electioneering period. Although the operating environment is unlikely to ease, we believe that we have set in motion initiatives that will enable us to accelerate our efforts to execute and deliver on our budget and strategy. Total business volumes are targeted to grow by 9% over 2016-17; this will be driven by improved distribution focus, aggressive marketing and product positioning as well as an expanded product portfolio. Gross Margins and Profit before tax are expected to improve commensurate with expected volume and revenue growth.

Appreciation

In ending this report, I want to appreciate all our stakeholders and especially you, our shareholder. Without your support Unga would not be able to weather the difficult times and deliver during the good times.

I also want to convey our special thanks to our consumers who, in the face of shortages experienced this year have shown their loyalty to Unga by making many phone calls to find out where they could find their favourite maize meal brands, **Jogoo®** and **Hostess®**.

I also appreciate the support we have had from our suppliers and from our other service providers, especially the Ministry of Agriculture. Livestock and Fisheries, who worked very closely and positively with the maize millers to ensure that *unga* was available to most Kenyans at affordable prices.

The Board also wishes to thank our management and the rest of the staff who have worked extremely hard to ensure that Unga remained a formidable player in the market place despite the very challenging operating environment of 2016-17.

Finally, my special thanks to the Board for the total support they have given me and their very valuable contributions and commitment they have shown at both the Board and Board Committees level.

Thank you.

I Ochola-Wilson (Mrs)

Chairman of the Board

GROUP MANAGING DIRECTOR'S STATEMENT

Dear Shareholder,

It is my pleasure to present an overview of our business performance for the financial year ended 30 June 2017.

In this financial year, we have recorded modest growth in sales volumes across the different business lines compared to the prior year. In the Human Nutrition segment, Unga Limited recorded a 6% growth in sales volume. This was mainly driven by active demand creation and production efficiencies for wheat. On the other hand, there was a significant decline in sales volumes for maize which can be attributed to scarcity of raw materials.

Unga Millers (U) Limited noted a 45% growth in sales volumes for the Home Baking category which was driven by **Exe®** Chapati, a new product. However, total sales volumes for the full financial year were notably lower compared to prior year due to stiff market competition and the security situation in South Sudan.

Ennsvalley Bakery Limited recorded a significant decline in volumes due to the exit from most Nakumatt stores. New supply agreements were signed with Chandarana and Tuskys supermarkets to cushion the business from the impact of the exit.

In the Animal Nutrition segment, our sales volumes grew by 3%. This was mainly driven by Layers and Dairy whose sales volume grew by 55% and 1818% respectively. Revenue for this segment declined marginally compared to prior year as a result of a drop in Broiler category sales volumes due to competitive pricing pressure.

Operating Environment

The operating environment has continued to be dynamic in the markets we operate in. Our profitability in the Ugandan market was impacted negatively by price wars. Poor payment by customers and reduced sales volume also constricted our cash flows. Given our business model and product offering, we do not believe there is a good business case to continue operating in this market.

In Kenya, Unga Limited recorded lower gross margins compared to the prior year. This was due to the loss of maize volumes occasioned by the scarcity of raw materials and availability of lower priced competitor products. As a requirement of the Government subsidy programme, we stopped production of **Hostess®** mid-May 2017; we hope to resume production of this key brand in November 2017.

Our participation in the Government Tender through the National Drought Management Authority contributed positively towards the financial performance of Unga Farm Care (EA) Limited, allowing us to successfully deliver more than 1,500 metric tons of drought pellets to the affected communities. It is worth noting that this product is now available in the company's portfolio as a standard item.

The closure of Nakumatt outlets, non-payment of outstanding debt, low capacity utilisation and increased prices of key raw materials affected the overall financial performance of Ennsvalley Bakery Limited. In response to this, we focused on securing supply arrangements with Tier II supermarkets, whilst maintaining key accounts such as the United Nations and NAS Servair.

Products and Capacity Enhancement

As has been our custom, we undertook a number of initiatives to expand our business lines and, in this year, to enhance our grain storage capacity. Towards the end of the year, Unga Limited launched new **Famila®** packs and smaller bales, aimed at increasing off-take within the general trade where cash flow is a barrier to purchase. We also rolled out an inventory replenishment module to our customers. The module assists them with tracking their stock levels so as to reduce instances of stock outs and speculative buying.

As reported last year, Unga Farm Care (EA) Limited partnered with a number of public and private entities under the FoodTech Africa consortium to assist in the development of the aquaculture market in the region. Through this consortium, we commissioned a state-of-the art production facility in March 2017 which will be used to manufacture high quality fish feed. The plant has the capacity to produce 5,000 tons of feed annually which will be produced under the brand name Fugo® Fish feed. We also established a technical partnership with Skretting, a globally renowned manufacturer of aquafeed, who are availing their expertise on feed formulation, production and marketing. With this venture, we expect to stimulate fish farming in East Africa.

Due to the reduction in the number of in-store bakeries and counters, we are exploring opportunities to develop new markets for our baked products. These initiatives are aimed at driving growth in volume in non-traditional segments for Ennsvalley Bakery Limited. We believe this will help improve the overall performance of the bakery in the coming financial year.

In order to increase Unga Limited's storage capacity, we rehabilitated the Commercial Street wheat silos and also installed a new 11,540 metric ton silo complex in Eldoret. The new silos are expected to reduce our input costs previously incurred from warehousing, handling and bagging.

Raw Material

Securing raw materials has remained a challenge in this financial year. Adverse weather in the broader Eastern Africa region resulted to low crop yield leading to the Government of Kenya making the decision to facilitate the import of duty-free white maize in April 2017. The costs of raw materials for Unga Limited increased compared to the prior year with maize and finger millet prices increasing by 12% and 21% respectively within this financial period. Unga Farm Care (EA) Limited experienced cases of irregular flow of raw materials, particularly maize, in the last quarter which impaired our ability to fulfill market demands. To manage this impact we opted to utilise substitutes such as local wheat and barley which was competitively priced, although in limited supply.

Looking Ahead

With regards to raw materials, we expect the wheat crop harvest in 2017--18 to be of fair quality and quantity. It will also be more highly priced compared to imports, as the Government continues with the managed wheat buying program. Imported wheat prices are projected to remain low as seen in the financial year 2016--17. Maize supply is also expected to stabilise with effect from July 2017 as the Government maize subsidy program settles down. The unusually high import levels of maize have created significant pressure on port logistics causing delays in both maize and wheat receipts at the mills. The North Rift maize crop is expected to find a market that is in relatively short supply, thereby forcing pricing for a 90kg bag to be above Shs 3,000.

The ban on plastic bags in August 2017 is also expected to affect our costs of production as we source for paper alternatives for Unga Limited's plastic balers and Unga Farm Care (EA) Limited's plastic outers for transport of its mineral and pre-mix products. We also foresee potential shortages in supply of paper alternatives due to high demand which might further increase our cost of purchase.

Regionally, as mentioned earlier, we have made a strategic decision to cease flour milling in the Ugandan market. However, we will continue to distribute our animal nutrition products and specialty flour products targeted at the modern trade in selected areas.

We will continue to engage, through appropriate industry associations, with the Government to quickly identify a sustainable solution to the ever increasing threat of less expensive wheat flour imports from Tanzania, a consequence of Kenyan entities having to mill higher cost local wheat and incurring higher logistics costs.

In the coming financial year, our main distribution focus will be on driving a stronger foothold in the grocery channel, which contributes 60% of total industry volume. For the wheat Category, we will aggressively drive **Exe®** specialties (Chapati, Mandazi, Self Raising & Atta) through product positioning. We will leverage on the addition of key product extensions to grow the high-end segment by exploring culinary excellence and adventures for the maize Category. In addition, we will actively seek to recruit younger consumers (age group 19-30 years) with the new **Famila®** pack by expanding the portfolio in line with trends in the category.

In the Animal Nutrition segment, we will continue with the implementation of an improved Route-to-Consumer model, which will be supported by an integrated communication campaign to drive our brand visibility in the ruminant and poultry categories.

On behalf of the management and staff, I extend our sincere appreciation to our Board, Shareholders, Customers, Business Partners and Regulators; we continue to count on your support and commitment.

Nick Hutchinson

Group Managing Director

DIRECTORS REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2017

Information not subject to audit

Dear Shareholder

I took over the chairmanship of the Board Nominations and Remuneration Committee (BNRC) with effect from 22 June 2017 from Mr Jinaro Kibet.

The BNRC has prepared this report in accordance with the Companies Act 2015 regulations referred to as the Tenth schedule – Quoted companies: Directors' Remuneration Report (the regulations). The report is divided into the following sections:

- The annual report on remuneration for the year ended 30 June 2017.
- The Company's current remuneration policy.
- A statement about the way the Company intends to implement its remuneration in 2017/18.

On behalf of the Board, I present to you the Directors' remuneration report for the year ended 30 June 2017.

INTRODUCTION

The members of the BNRC during the year were Mr Jinaro Kibet, Committee Chairman until 22 June 2017 when he stood down, Mr Patrick Obath (Chairman from 22 June 2017), Mrs Isabella Ochola-Wilson and Mr Andrew Ndegwa. All members are Non-Executive Directors. The change in the chairmanship was necessitated by the requirement that the position should be held by an independent director.

The Schedule of attendance of BNRC meetings held during the year were as follows:-

Member	No. of Meetings Attended
Mr Patrick Obath*	2/3
Mrs Isabella Ochola-Wilson	3/3
Mr Jinaro Kibet	3/3
Mr Andrew Ndegwa	3/3

*Chairman and independent director

The BNRC's responsibilities have been set by the Board and are outlined in the Board Charter and the Committees terms of reference which are available on the Company's website. The BNRC takes into account the need to recruit and retain valuable Directors in a challenging market environment.

The BNRC believes that the Company complies with the main provisions of the Code of Corporate Governance for public listed companies.

This is the inaugural report under the new Companies Act 2015 and the regulations. Accordingly, the Company is presenting the existing remuneration policy with this report. In subsequent reports, the Company will be required to seek a vote on the Remuneration policy where the policy is changed (or an advisory vote on the implementation is not passed).

The Directors' remuneration report is unaudited except where otherwise stated.

Regulatory Changes

The Regulatory landscape in Kenya has witnessed a number of changes that have had an impact on the remuneration of Directors and the associated reporting.

In March 2016, the Capital Markets Authority ("CMA") issued the Capital Markets Code for Issuers of Securities ("The Code") which became operational after a year. The Code has outlined various compliance requirements in relation to Directors' Remuneration.
The new Companies Act 2015 was enacted in September 2015 and became operational in June 2016. According to the new Act, the Company is now required to table a Directors' Remuneration Report to its shareholders as part of its audited financial statements.

The Board has adopted a Board Charter and aligned it with the provisions of the Code and the new Companies Act. The Board Charter outlines a guideline on the Directors' Remuneration and Expense Policy.

Remuneration for Non-Executive Directors

The Company's Non-Executive Directors' (NEDs) were issued with Directors' Service Contracts in compliance with the requirements of the new Act. These are contracts for service and not contracts for employment. The NEDs are compensated in the form of annual fees but are not entitled to any pension, bonus or long term incentives plans.

In June 2016, the Board approved a compensation package for the Non-Executive Directors. The package had previously been reviewed in 2012.

Elements of the compensation schedule include the following:-

i) Annual Honorarium for the Chairman and other NEDs;
ii) Sitting allowances for Board and Board Committee meetings;
iii) Expenses incurred with respect to travel, accommodation, pre-approved consultancy fees or other expenses incurred as a result of carrying out duties as a Director as reimbursed at cost.

The compensation structure was determined following a benchmarking exercise with comparable entities that had been conducted in the year 2015.

Remuneration for Executive Directors

In order to remain an attractive employer, the Group ("Unga") annually reviews its competitiveness against prevailing market practices.

In 2015/16, Unga embarked on a Remuneration Survey and Job Evaluation exercise. The Company's remuneration advisors during the year were PricewaterhouseCoopers, Hay Group and Federation of Kenya Employees. The Company also participated in the Deloitte Best Company to work for survey. The outcome of the exercise was alignment of job titles and identification of necessary changes in Unga's structure. The Company adjusted Salaries for inflation by 14% for the year 2016/17. The remuneration for the Executive Director was reviewed by the Board Nomination and Remuneration Committee in line with the contract for employment and the internal performance structure. The matrices used in assessing performance conditions were Unga's financial and Hoshin Kanri ("HK") goals and objectives.

The Executive Director's terms of employment were within the Companies HR policies.

Link to Strategy

During the year, the Board of Directors approved the 2017 to 2022 Strategic plan which intends to transform the group to its newly adopted Vision of 'Nutrition for Life.'

Unga's aim is to achieve an integrated approach to reward, linking Company strategy in the form of the achievement of corporate objectives and individual performance to salary increases and bonus awards.

The major objective of the Group remuneration policy is to ensure that there is a clear link between each employee's individual level of performance and their reward. These, along with other factors such as market positioning and the overall reward budget, go into the annual salary and bonus review process for all employees including the executive team.

This ensures that a co-ordinated and consistent approach is taken – encouraging and supporting a high-performance culture whilst ensuring fairness and transparency across the Group.

To this end, an Integrated Performance Management Framework was rolled out with effect from January 2017.

Pension entitlements

Only the Executive Director is entitled to participate in the Group's Pension Plan. Participation is restricted to defined monthly contributions that are applicable to permanent employees within the Group.

Share options and long-term incentive scheme

All Directors are not entitled to any share option arrangement or long term share incentive schemes.

Payments to past Directors

There was no payment of Directors' fees to past directors during the year.

Review of the Remuneration Policy

Owing to the business challenges experienced by the Company in the current year and the slowed economy resulting from the prolonged election process, the Board resolved to retain the salary structure on current basis for the remaining financial year 2017/18 but to consider a review in the subsequent years.

The compensations schedule for the NEDs will also remain the same for the current financial year.

ANNUAL REPORT ON REMUNERATION

Information subject to audit

The following table shows a single figure remuneration for the Executive Directors, Chairman and Non-Executive directors in respect of qualifying services for the year ended 30 June 2017 together with the comparative figures for 2016. The aggregate Directors' emoluments are shown in note 33 (iv).

Year ended 30 June 2016	Salary	Fees	Bonuses	Expense allowances	Total
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
Nicholas Hutchinson	9,840	-	-	-	9,840
Isabella Ochola Wilson	-	2,660	-	-	2,660
Alan McKittrick	-	1,735	-	-	1,735
Andrew Stewart Ndegwa*	-	1,675	-	-	1,675
Patrick Obath	-	1,685	-	-	1,685
Jinaro Kipkemoi Kibet	-	1,765	-	-	1,765
Vitalis Ondeke Ojode	-	1,435	-	-	1,435
Mary M Mukindia	-	645	-	-	645
	9,840	11,600	-	-	21,440
Year ended 30 June 2017					
Nicholas Hutchinson	15,207	-	-	-	15,207
Isabella Ochola Wilson	-	3,855	-	-	3,855
Alan McKittrick	-	2,375	-	-	2,375
Andrew Stewart Ndegwa*	-	2,755	-	-	2,755
Patrick Obath	-	2,390	-	-	2,390
Jinaro Kipkemoi Kibet	-	2,355	-	-	2,355
Vitalis Ondeke Ojode	-	1,815	-	-	1,815
Shilpa Haria	-	1,265	-	-	1,265
	15,207	16,810	-	-	32,017

*Payment for qualifying services provided by Andrew Ndegwa as stated in the table above was made to First Chartered Securities Limited.

Percentage change in the elements of pay from 2016 to 2017

	Base salary/fees	Benefits in kind	Annual bonus
Executive Director	54.54%	0.0%	-100%
Average change for staff	14.00%	0.0%	-100%

DIRECTORS' REMUNERATION POLICY

Information not subject to audit

This section of the Remuneration Report describes the current policy for Directors' remuneration. It can be summarized as follows:-

a) Executive Director	
Base Salary	
Purpose/Link to Corporate Strategy	Part of a basic competitive package to retain individuals of the necessary caliber to execute the Company's business strategy. The People Strategy was approved by the Board in June 2015.
Operation	The executive Director is entitled to a Salary only. No separate Directors' fees are paid. The salary is reviewed annually in line with the Company's Human Resources plan with changes effective 1 July, if appropriate.
Opportunity	Salary reviews are based on market comparisons and increases to other Group staff. Details of salaries for 2016/17 are shown in Note 33 (iv) of the report. Increases in Executive Director salary is aligned to the average staff increase in the Group.
Performance Metrics	None- this linked to the Annual Bonus Plan
Pension	
Purpose / Link to Corporate Strategy	To provide executives with a long-term savings opportunity; the pension forms part of a basic competitive package to recruit and retain.
Operation	A Defined Contribution plan for all Executive Directors.
Opportunity	Company contribution as percentage of basic salary up to 7.5%, CEO up to 7.5%.
Performance Metrics	None
Benefits	
Purpose / Link to Corporate Strategy	Insured benefits are included to provide employee protection for the benefit of the employee and Company.
Operation	Insured benefits provided as part of Group schemes.
Opportunity	Group Medical Insurance Group Life Assurance Critical illness cover Car Allowance
Performance Metrics	None
Annual Bonus Plan	
Purpose / Link to Corporate Strategy	The bonus payment is implemented in accordance with an approved Compensation Philosophy for the period 2014 to 2018. The objective is to incentivize and focus attention on Company KPIs; to reward the achievement of financial, operational and individual targets and provide a competitive performance-related annual earnings opportunity.

Annual Bonus Plan (continued)	
Operation	Targets and KPIs are set at start of year. 85% of opportunity is based on corporate achievement and 15% on individual performance. The bonus pool is unlocked upon attainment of 85% of budgeted profit before tax. 100% of the award is paid in cash soon after approval by the Board of Directors.
Opportunity	The Executive Director's terms of employment were within the Companies HR policies. The Executive Director is entitled to bonus pay of 10% gross annual salary in accordance with Unga's bonus pay-out policy.
Performance Metrics	Company element based on challenging corporate, operational and financial KPIs. Measures, targets and weightings are set in respect of each financial year. Personal elements based on performance measures set each financial year relevant to the individual's role and accountabilities. Details of the corporate performance measures applicable in the current financial year are contained in the Group Variable Pay pay-out policy. All bonus payments are at the discretion of the Board.

Executive Share Option Plans
The Company has not introduced Executive Share Option Plans. No plan has been recommended for the next financial year.

b) Non-Executive Directors	
Annual Fees	
Purpose / Link to Corporate Strategy	Competitive fee to recruit and retain. The NED fee structure was implemented with effect from 1 January 2016.
Operation	The fee includes both an annual retainer and a meeting attendance fee that is paid quarterly in arrears.
Opportunity	Fees are determined in accordance with market practice. The Remuneration Committee recommends the fees payable to the Chairman and other NEDs. • Sitting allowance applies to attendance at Board meetings, Annual General Meeting, Board Committee meetings, Strategic Planning Workshop and Board Training Workshops; • The fee structure will pay the Board Chair and the Board Committee Chairs a higher meeting attendance fee than that paid to other Directors in attendance. • Directors attending out-of-country Board meetings will be entitled to receive an additional allowance. • No additional fees/allowances will be paid over and above the retainer and meeting attendance fees
Performance Metrics	None -to be reviewed going forward
Performance Share plan	
The Company has not introduced any Executive and Non-Executive Performance Share plans.	

Other Key Policies influencing Directors' Remuneration

a) Recruitment policy

The Company's philosophy is that all executive Directors should be remunerated at an appropriate level based on Unga's remuneration policy and taking into account the experience and calibre of the individual. Executive directors are entitled to a salary and not the annual directors' fees.

A new non- executive director will be entitled to the applicable annual fees as per the existing compensation schedule on retainer and sitting allowance.

b) Policy on payment for loss of office

The Executive Director's employment contract provides for a maximum of 12 months' notice.

On termination of an Executive Director's service contract, the Company's policy is to pay the salary and benefits to which the executive is contractually entitled. There is no contractual entitlement to receive any bonus but depending on the circumstances, the Company may decide to make a bonus payment in respect of the period up to the termination date. It is not the Company's policy to make payments in respect of bonus if the Company is entitled to dismiss a Director for cause.

The letters of appointment for Non-Executive Directors do not provide for any notice period. However, the appointment ceases immediately upon termination by resignation, a resolution of the Board or shareholders and no further remuneration accrues to the Director thereafter.

c) Obligations in Service contracts

There are no obligations to individuals in Directors' Service contracts or Letter of Employment which give rise to entitlement beyond that described in the policy table and the policy on payment for loss of office.

d) Discretions retained by the Remuneration Committee

The Company does not operate any long term incentive plan such as Share Option Plan, Share Performance plan, etc. Accordingly, there no areas of discretion to disclose.

STATEMENT ON IMPLEMENTATION OF THE DIRECTORS' REMUNERATION IN 2017/18

The BNRC and the Board feel confident that the remuneration policy continues to be appropriate for the Company and will support the implementation of the Group's short term and long-term objectives.

The regulations relating to the Directors' Remuneration Report were gazetted on 15th September 2017. The BNRC plans to develop a Remuneration policy that addresses the requirements set out in the regulations. The new remuneration policy will be tabled at the next Annual General Meeting for adoption.

Patrick Obath
Chairman, Nomination and Remuneration Committee

28 September 2017

The Kenyan Companies Act 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the financial position of the Group and the Company at the end of the financial year and its financial performance for the year then ended. The directors are responsible for ensuring that the Group and Company keeps proper accounting records that are sufficient to show and explain the transactions of the Group and Company; disclose with reasonable accuracy at any time the financial position of the Group and Company; and that enables them to prepare financial statements of the Company that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act 2015. They are also responsible for safeguarding the assets of the Group and Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

i. Designing, implementing and maintaining internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
ii. Selecting suitable accounting policies and then apply them consistently; and
iii. Making judgements and accounting estimates that are reasonable in the circumstances.

In preparing the financial statements, the directors have assessed the Group's and Company's ability to continue as a going concern and disclosed, as applicable, matters relating to the use of going concern basis of preparation of the financial statements. Nothing has come to the attention of the directors to indicate that the Group and Company will not remain a going concern for at least the next twelve months from the date of this statement.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of Directors on 28 September 2017 and signed on its behalf by:

I Ochola- Wilson (Mrs)

Director

N Hutchinson

Director

pwc

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF UNGA GROUP PLC (FORMERLY UNGA GROUP LIMITED)

Report on the audit of the financial statements

Our opinion
We have audited the accompanying financial statements of Unga Group Plc (the "Company") and its subsidiaries (together, the "Group") set out on pages 26 to 83 , which comprise the consolidated statement of financial position at 30 June 2017 and the consolidated statement of profit or loss and consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the separate statement of financial position of the Company at 30 June 2017 and the statements of profit or loss and other comprehensive income, changes in equity and cash flows of the Company for the year then ended, and the notes, including a summary of significant accounting policies.

In our opinion, the financial statements give a true and fair view of the financial position of the Group and the Company at 30 June 2017, and of the Group's and Company's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act 2015.

Basis for opinion
We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence
We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code). We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

Key audit matters
Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current year. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

PricewaterhouseCoopers CPA. PwC Tower, Waiyaki Way/Chiromo Road, Westlands
P O Box 43963 – 00100 Nairobi, Kenya
T: +254 (20)285 5000 F: +254 (20)285 5001 www.pwc.com/ke

Key audit matter	How our audit addressed the key audit matter
Information technology (IT) systems and controls The Group implemented SAP, a new Enterprise Resource Planning (ERP) system effective 1 January 2016. This was the first full year of operation with SAP. The new system is a fully integrated financial accounting and reporting system. A new system has an inherent risk of key financial data integrity, and the breakdown in operation or monitoring of IT dependent controls within critical business processes such as purchasing selling and recording of transactions, which could lead to financial errors or misstatements and inaccurate financial reporting. This being the first year of full operation there is the risk that challenges experienced during migration and the first six months of operation may still impact the proper operation of the IT systems. The group's financial accounting and reporting systems are heavily dependent on the new system and there is a risk that automated accounting procedures and related IT dependent manual controls are not designed and operating effectively.	We examined the framework of governance over the Group's IT organisation and the controls over program development and changes, access to programs and data and IT operations, including compensating controls where required. We assessed and tested the design and operating effectiveness of the controls over the continued integrity of the new systems that were relevant to financial accounting and reporting during the year. Where necessary we also carried out direct tests of certain aspects of the security of the Group's IT systems including access management and segregation of duties. We re-performed selected automated computations and compared our results with those from the system and the general ledger. We tested the significant system interfaces to ensure the accuracy and completeness of the data transfer. Our procedures included assessment and testing of the General IT control environment, including IT access and segregation of duties, as well as IT dependent controls within critical business processes. The combination of these tests of the controls and the direct tests that we carried out gave us sufficient evidence to enable us to rely on the continued and proper operation of the Group's IT systems for the purpose of the audit of the financial statements.

Other information

The directors are responsible for the other information. The other information comprises the director's report, the chairman's statement including five year financial review, group managing director's statement, director's remuneration report, and the statement of director's responsibilities, which we obtained prior to the date of this report.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of directors and those charged with governance for the financial statements

The directors are responsible for the preparation of the financial statements that give a true and fair view in accordance with International Financial Reporting Standards and with the Kenyan Companies Act 2015, and for such internal control as the directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

pwc

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the Group's financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

pwc

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF UNGA GROUP PLC (CONTINUED)

Report on other matters prescribed by the Kenyan Companies Act, 2015

Report of the directors
In our opinion the information given in the report of directors' report on pages 9 to 11 is consistent with the financial statements.

Directors' remuneration report
In our opinion the auditable part of the directors' remuneration report on page 15 has been prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner on the audit resulting in this independent auditor's report is FCPA Michael Mugasa – P/No. 1478.

PricewaterhouseCoopers.

Certified Public Accountants
Nairobi.

28 September 2017

Consolidated statement of profit or loss

For the year ended 30 June	Notes	2017 Shs'000	2016 Shs'000
Revenue	5	19,528,785	18,947,944
Cost of sales		(17,285,467)	(16,734,683)
Gross profit		2,243,318	2,213,261
Other income	8	64,527	39,265
Selling and distribution costs		(883,633)	(697,060)
Administrative expenses		(1,222,412)	(841,138)
Operating profit		201,800	714,328
Finance income	10	67,415	80,072
Finance costs	10	(76,933)	(56,316)
Profit before income tax		192,282	738,084
Income tax expense	13	(105,617)	(226,608)
Profit for the year from continuing operations		86,665	511,476
Loss for the year from discontinued operations	31	(118,951)	(2,660)
(Loss)/ profit for the year		(32,286)	508,816
Attributable to:			
Owners of the parent:			
- Profit for the year from continuing operations		139,912	329,691
- Loss for the year from discontinued operations		(118,951)	(2,660)
		20,961	327,031
Non-controlling interests:			
- Profit for the year from continuing operations		(53,247)	181,785
		(32,286)	508,816

Earnings per share attributable to owners of the Company (expressed in Kenya shilling).

Basic and diluted earnings per share		2017	2016
From continuing operations		1.85	4.36
From discontinued operations		(1.57)	(0.04)
Basic and diluted earnings per share	6	0.28	4.32

Consolidated statement of comprehensive income

For the year ended 30 June	Notes	2017 Shs'000	2016 Shs'000
(Loss)/ profit for the year		(32,286)	508,816
Other comprehensive income for the year			
Items that will not be subsequently reclassified to profit or loss			
Re-measurement of retirement benefit scheme asset	28	9,268	(9,800)
Deferred income tax thereon		(2,781)	2,940
Items that may be subsequently reclassified to profit or loss			
Currency translation differences on foreign operations		(5,503)	(7,375)
Total other comprehensive income for the year		984	(14,235)
Total comprehensive (loss)/ income for the year		(31,302)	494,581
Attributable to;			
Owners of the parent		21,601	317,778
Non-controlling interest		(52,903)	176,803
		(31,302)	494,581

Company statement of profit or loss and other comprehensive income

For the year ended 30 June	Notes	2017 Shs'000	2016 Shs'000
Revenue	5	75,707	75,707
Administrative expenses		(17,571)	(13,491)
Operating profit		58,136	62,216
Finance income	10	16,277	31,505
Profit before income tax		74,413	93,721
Income tax expense		(3,595)	(651)
Profit for the year		70,818	93,070
Other comprehensive income, net of tax		-	-
Total comprehensive income for the year		70,818	93,070

Consolidated statement of financial position

At 30 June	Notes	2017 Shs'000	2016 Shs'000
ASSETS			
Non-current assets			
Property, plant and equipment	24	3,423,727	2,918,382
Prepaid operating lease rentals	25	27,359	28,973
Intangible assets	26	166,343	359,084
Retirement benefits asset	28	17,937	41,306
Deferred income tax	19	32,734	32,276
		3,668,100	3,380,021
Current assets			
Inventories	20	2,321,807	2,562,374
Trade and other receivables	21	2,440,699	2,072,418
Current income tax		122,110	82,611
Cash and cash equivalents	29	1,714,755	1,102,359
		6,599,371	5,819,762
TOTAL ASSETS		10,267,471	9,199,783
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	14	378,535	378,535
Share premium		73,148	73,148
Other reserves	15	674,484	698,848
Retained earnings		2,603,644	2,480,889
		3,729,811	3,631,420
Non-controlling interests	16	1,749,144	2,065,309
Total equity		5,478,955	5,696,729
LIABILITIES			
Non-current liabilities			
Post-employment benefits obligation	18	17,151	97,098
Deferred income tax	19	613,725	552,753
Borrowings	17	131,688	321,315
		762,564	971,166
Current liabilities			
Trade and other payables	22	3,807,201	2,284,368
Current income tax		5,314	103,470
Borrowings	17	213,437	144,050
		4,025,952	2,531,888
Total liabilities		4,788,516	3,503,054
TOTAL EQUITY AND LIABILITIES		10,267,471	9,199,783

The financial statements on pages 26 to 83 were approved for issue by the Board of Directors on 28 September 2017 and signed on its behalf by:

I Ochola- Wilson (Mrs)

Director

N Hutchinson

Director

Company statement of financial position

At 30 June	Notes	2017 Shs '000	2016 Shs '000
ASSETS			
Non-current assets			
Investments in subsidiaries	27	1,297,335	1,297,335
Total non-current assets		1,297,335	1,297,335
Current assets			
Trade and other receivables	21	134,945	115,470
Current income tax		-	3,781
Cash and cash equivalents	29	290,226	272,183
Total current assets		425,171	391,434
TOTAL ASSETS		1,722,506	1,688,769
EQUITY AND LIABILITES			
Capital and reserves			
Ordinary shares	14	378,535	378,535
Share premium		73,148	73,148
Retained earnings		1,003,725	1,008,614
Total equity		1,455,408	1,460,297
Current liabilities			
Trade and other payables	22	267,098	228,472
Total current liabilities		267,098	228,472
TOTAL EQUITY AND LIABILITIES		1,722,506	1,688,769

The financial statements on pages 26 to 83 were approved for issue by the Board of Directors on 28 September 2017 and signed on its behalf by:

I Ochola- Wilson (Mrs)

Director

N Hutchinson

Director

Consolidated statement of changes in equity

Year ended 30 June 2016	Share capital Shs '000	Share premium Shs '000	Other reserves Shs '000	Retained earnings Shs '000	Equity attributable to holders of parent Shs '000	Non-controlling interests Shs '000	Total Shs '000
At start of year	378,535	73,148	728,072	2,209,594	3,389,349	1,929,271	5,318,620
Profit for the year	-	-	-	327,031	327,031	181,785	508,816
Other comprehensive income for the year	-	-	(9,253)	-	(9,253)	(4,982)	(14,235)
Total comprehensive income for the year	-	-	(9,253)	327,031	317,778	176,803	494,581
Transfer of excess depreciation	-	-	(28,530)	28,530	-	-	-
Deferred income tax on transfer	-	-	8,559	(8,559)	-	-	-
Transactions with owners							
Dividend paid to equity holders	-	-	-	(75,707)	(75,707)	-	(75,707)
Dividend paid to non - controlling interests	-	-	-	-	-	(40,765)	(40,765)
At end of year	378,535	73,148	698,848	2,480,889	3,631,420	2,065,309	5,696,729

Consolidated statement of changes in equity (continued)

	Share capital	Share premium	Other reserves	Retained earnings	Equity attributable to holders of parent	Non-controlling interests	Total
Year ended 30 June 2017	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
At start of year	378,535	73,148	698,848	2,480,889	3,631,420	2,065,309	5,696,729
Profit for the year	-	-	-	20,961	20,961	(53,247)	(32,286)
Other comprehensive income for the year	-	-	640	-	640	344	984
Total comprehensive income for the year	-	-	640	20,961	21,601	(52,903)	(31,302)
Transfer of excess depreciation	-	-	(35,720)	35,720	-	-	-
Deferred income tax on transfer	-	-	10,716	(10,716)	-	-	-
Transactions with owners							
Acquisition (Note 30)	-	-	-	152,497	152,497	(222,497)	(70,000)
Dividend paid to equity holders	-	-	-	(75,707)	(75,707)	-	(75,707)
Dividend paid to non - controlling interests	-	-	-	-	-	(40,765)	(40,765)
At end of year	378,535	73,148	674,484	2,603,644	3,729,811	1,749,144	5,478,955

Company statement of changes in equity

	Share Capital Shs'000	Share Premium Shs'000	Retained earnings Shs'000	Total Shs'000
Year ended 30 June 2016				
At start of year	378,535	73,148	991,253	1,442,936
Profit or loss and other comprehensive income	-	-	93,068	93,068
Transactions with owners				
Dividends paid	-	-	(75,707)	(75,707)
At end of year	378,535	73,148	1,008,614	1,460,297
Year ended 30 June 2017				
At start of year	378,535	73,148	1,008,614	1,460,297
Profit or loss and other comprehensive income	-	-	70,818	70,818
Transactions with owners				
Dividends paid	-	-	(75,707)	(75,707)
At end of year	378,535	73,148	1,003,725	1,455,408

Consolidated statement of cash flows

	Notes	Year ended 30 June 2017 Shs'000	2016 Shs'000
Operating activities			
Cash generated from operations	29	1,818,645	911,917
Income tax paid		(175,985)	(196,477)
Interest paid		(47,341)	(49,146)
Net cash from operating activities		1,595,319	666,294
Investing activities			
Purchase of property, plant and equipment	24	(791,410)	(279,518)
Purchase of intangible assets	26	(19,705)	(192,862)
Proceeds of disposal of property, plant and equipment		9,261	1,521
Net cash used in investing activities		(801,854)	(470,859)
Financing activities			
Dividends paid to equity holders	7	(75,707)	(75,707)
Dividends paid to non - controlling interests	16	(40,765)	(40,765)
Loan repayments	17	(120,240)	(173,545)
Grants received	23	45,599	-
Net cash used in financing activities		(191,113)	(290,017)
Net increase in cash and cash equivalents		602,352	(94,582)
Movement in cash and cash equivalents			
At start of year		1,102,359	1,192,705
Increase/ (decrease)		602,352	(94,582)
Effects of exchange rate changes		10,044	4,236
At end of year	29	1,714,755	1,102,359

Company statement of cash flows

	Notes	Year ended 30 June 2017 Shs'000	2016 Shs'000
Operating activities			
Cash generated from operations	29	93,750	106,323
Income tax paid		-	(2,320)
Net cash from operating activities		93,750	104,003
Financing activities			
Dividends paid to shareholders	7	(75,707)	(75,707)
Net cash used in financing activities		(75,707)	(75,707)
Net increase in cash and cash equivalents		18,043	28,296
Movement in cash and cash equivalents			
At start of year		272,183	243,887
Increase		18,043	28,296
At end of year	29	290,226	272,183

Notes

1 General information

Unga Group Plc is incorporated in Kenya under the Companies Act as a limited liability company, and is domiciled in Kenya. The address of its registered office is:

Plot No.209/6841
Ngano House, Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi

2 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"). The measurement basis applied is the historical cost basis, except for equipment and buildings, which have been measured at fair value. All values are shown in thousands of Kenya Shillings.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Changes in accounting policy and disclosures

(i) New standards and amendments to published standards effective for the year ended 30 June 2017

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendments to IAS 1, 'Presentation of Financial Statements'	The amendments are made in the context of the IASB's Disclosure Initiative, which explores how financial statement disclosures can be improved. The amendments, provide clarifications on a number of issues, including:

- Materiality – an entity should not aggregate or disaggregate information in a manner that obscures useful information. Where items are material, sufficient information must be provided to explain the impact on the financial position or performance.
- Disaggregation and subtotals – line items specified in IAS 1 may need to be disaggregated where this is relevant to an understanding of the entity's financial position or performance. There is also new guidance on the use of subtotals.
- Notes – confirmation that the notes do not need to be presented in a particular order.
- OCI arising from investments accounted for under the equity method – the share of OCI arising from equity-accounted investments is grouped based on whether the items will or will not subsequently be reclassified to profit or loss. Each group should then be presented as a single line item in the statement of other comprehensive income.

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures (continued)

i) New standards and amendments to published standards effective for the year ended 30 June 2017(continued)

Amendments to IAS 32 Offsetting Financial Assets and Financial Liabilities	The amendments to IAS 32 clarify the requirements relating to the offset of financial assets and financial liabilities. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off' and 'simultaneous realisation and settlement'. As the Company does not have any financial assets and financial liabilities that qualify for offset, the application of the amendments has had no impact on the disclosures or on the amounts recognised in the Company's financial statements.
Amendments to IAS 16 and IAS 38 Clarification of Acceptable Methods of Depreciation and Amortisation	The IASB has amended IAS 16 Property, Plant and Equipment to clarify that a revenue-based method should not be used to calculate the depreciation of items of property, plant and equipment. IAS 38 Intangible Assets now includes a rebuttable presumption that the amortisation of intangible assets based on revenue is inappropriate. This presumption can be overcome if either: • The intangible asset is expressed as a measure of revenue (i.e. where a measure of revenue is the limiting factor on the value that can be derived from the asset), or • It can be shown that revenue and the consumption of economic benefits generated by the asset are highly correlated. As these amendments merely clarify the existing requirements, they do not affect the company's accounting policies or any of the disclosures.

(ii) New standards, amendments and interpretations not yet effective and not early adopted

A number of new standards and amendments to standards and interpretations are effective for annual periods beginning after 1 July 2017, and have not been applied in preparing these financial statement. None of these is expected to have a significant effect on the financial statements of the Company, except the following set out below.

IFRS 9 Financial instruments'	Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued in July 2014. It replaces the guidance in IAS 39 that relates to the classification and measurement of financial instruments. IFRS 9 retains but simplifies the mixed measurement model and establishes three primary measurement categories for financial assets; amortised cost, fair value through OCI and fair value through Profit or loss. The basis of classification depends on the entity's business model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to present changes in fair value in OCI not recycling.

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures (continued)

(ii) New standards, amendments and interpretations not yet effective and not early adopted (continued)

There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39.

For financial liabilities there were no changes to classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes.

Contemporaneous documentation is still required but is different to that currently prepared under IAS 39. The standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The company is yet to assess IFRS 9's full impact.

IFRS 15 Revenue from Contracts with Customers

The IASB has issued a new standard for the recognition of revenue. This will replace IAS 18 which covers contracts for goods and services and IAS 11 which covers construction contracts.

The new standard is based on the principle that revenue is recognised when control of a good or service transfers to a customer – so the notion of control replaces the existing notion of risks and rewards.

A new five-step process must be applied before revenue can be recognised:

- identify contracts with customers
- identify the separate performance obligation
- determine the transaction price of the contract
- allocate the transaction price to each of the separate performance obligations, and
- recognise the revenue as each performance obligation is satisfied.

Key changes to current practice are:

- Any bundled goods or services that are distinct must be separately recognised, and any discounts or rebates on the contract price must generally be allocated to the separate elements.
- Revenue may be recognised earlier than under current standards if the consideration varies for any reasons (such as for incentives, rebates, performance fees, royalties, success of an outcome etc.) – minimum amounts must be recognised if they are not at significant risk of reversal.
- The point at which revenue is able to be recognised may shift: some revenue which is currently recognised at a point in time at the end of a contract may have to be recognised over the contract term and vice versa.

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures (continued)

(ii) New standards, amendments and interpretations not yet effective and not early adopted (continued)

- There are new specific rules on licenses, warranties, non-refundable upfront fees and, consignment arrangements, to name a few.
- As with any new standard, there are also increased disclosures.

These accounting changes may have flow-on effects on the entity's business practices regarding systems, processes and controls, compensation and bonus plans, contracts, tax planning and investor communications. Entities will have a choice of full retrospective application, or prospective application with additional disclosures.

The new standard is effective for annual periods beginning on or after 1 January 2018. The directors do not anticipate the standard to have a significant impact on the company.

IFRS 16 Leases

IFRS 16 will affect primarily the accounting by lessees and will result in the recognition of almost all leases on balance sheet. The standard removes the current distinction between operating and financing leases and requires recognition of an asset (the right to use the leased item) and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short-term and low-value leases.

The income statement will also be affected because the total expense is typically higher in the earlier years of a lease and lower in later years. Additionally, operating expense will be replaced with interest and depreciation, so key metrics like EBITDA will change.

Operating cash flows will be higher as cash payments for the principal portion of the lease liability are classified within financing activities. Only the part of the payments that reflects interest can continue to be presented as operating cash flows.

The accounting by lessors will not significantly change. Some differences may arise as a result of the new guidance on the definition of a lease. Under IFRS 16, a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The standard is effective for annual periods beginning on or after 1 January 2019. Early adoption is permitted only if IFRS 15 is adopted at the same time. The directors do not anticipate the standard to have a significant impact on the company.

There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the Company.

Notes (continued)

2 Summary of significant accounting policies (continued)

(b) Consolidation

(i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets

Investments in subsidiaries are accounted for at cost less impairment in parent company financial statements. Cost is adjusted to reflect changes in consideration arising from contingent consideration amendments. Cost also includes direct attributable costs of investment.

The excess of the consideration transferred over the amount in the acquiree and the acquisition-date fair value over any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If this is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Inter-Company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(ii) Transactions and non-controlling interests

The Group treats transactions with non-controlling interests as transactions with equity owners of the Group. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control or significant influence, any retained interest in the entity is re-measured to its fair value, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

Notes (continued)

2 Summary of significant accounting policies (continued)

(c) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the steering committee that makes strategic decisions.

(d) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Company's functional currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary items, such as equities held at fair value through profit or loss are reported as part of the fair value profit or loss in profit or loss. Translation differences on non-monetary items, such as equities classified as available-for-sale financial assets are included in the fair value reserve in equity.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- all resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to statement of other comprehensive income. When a foreign operation is sold, such exchange differences are recognised in the income statement as part of the gain or loss on sale.

Notes (continued)

2 Summary of significant accounting policies (continued)

(e) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group's activities. Revenue is shown net of value-added tax (VAT), returns, rebates and discounts and after eliminating sales within the Group.

The Group recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Group and when specific criteria have been met for each of the Group's activities as described below. The amount of revenue is not considered to be reliably measurable until all contingencies relating to the sale have been resolved. The Group bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

Revenue is recognised as follows:

(i) Sales of goods are recognised in the period in which the Group has delivered products to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customers' acceptance of the products. Delivery does not occur until the products have been accepted by the customer.

No element of financing is deemed present as the sales are made with a credit term of 30 days, which is consistent with the market practice. The Group does not operate any loyalty programmes.

(ii) Interest income is recognised on a time proportion basis using the effective interest method Interest income is recognised using the effective interest rate method.

(iii) Dividends are recognised as income in the period in which the right to receive payment is established.

(f) Property, plant and equipment

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any impairment losses.

Professional valuations are carried out in accordance with the Group policy of revaluing items of property, plant and equipment that are carried at valuation at least every five years.

The basis of valuation is as follows:

(a) Buildings – open market value;

(b) Other assets – depreciated replacement cost.

Increases in the carrying amounts of property, plant and equipment resulting from revaluation shall be recognised in other comprehensive income and accumulated in the revaluation surplus. However, the increase shall be recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss.

Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus; all other decreases are charged to profit or loss. Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation surplus to revenue reserves.

Notes (continued)

2 Summary of significant accounting policies (continued)

(f) Property, plant and equipment (continued)

Depreciation is calculated to write off the cost or valuation of property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates used are:

Leasehold buildings	Shorter of 40 year or over the lease period
Computer equipment	33.30%
Plant and machinery	5 - 7.5%
Furniture and fittings	12.50%
Motor vehicles	25%
Silos	Shorter of 50 years or the unexpired period of the lease in respect of the land on which they are built

(g) Intangible assets

(i) Goodwill

Goodwill arises on the acquisition of subsidiaries and represents the excess consideration transferred over interest in fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purposes of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units (CGUs) or Groups of cash generating units CGUs that is expected to benefit from the synergies of the combination. Each unit or Group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of the value in use and the fair value less costs to sell. Any impairment is recognized immediately as an expense and is not subsequently reversed.

(ii) Computer software

Costs associated with maintaining computer software programmes are recognized as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognized as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product;
- It can be demonstrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- The expenditure attributable to the software product during its development can be reliably measured.

Directly attributable cots that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognized as an expense as incurred. Developments costs previously recognized as an expense are not recognized as an asset in a subsequent period.

Computer software development costs recognized as assets are amortized over their estimated useful lives, which does not exceed three years.

Notes (continued)

2 Summary of significant accounting policies (continued)

(h) Non-current assets (or disposal Groups) held for sale

Non-current assets (or disposal Groups) are classified as assets held for sale when their carrying amount is to be recovered principally through a sale transaction and a sale is considered highly probable. They are stated at the lower of carrying amount and fair value less costs to sell.

(i) Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to depreciation or amortisation but are tested annually for impairment. Assets that are subject to depreciation or amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

(j) Financial assets

The Group classifies its financial assets in the following categories: financial assets at fair value through profit and loss, loans and receivables, and available-for-sale financial assets. The classification depends on the purpose for which the assets were acquired. Management determines the classification of its assets at initial recognition and re-evaluates such designation at every reporting date.

i) Classification

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are financial assets held for trading. A financial asset is classified in this category if acquired principally for the purpose of selling in the short-term. Derivatives are also categorised as held for trading. Assets in this category are classified as current assets if expected to be settled within 12 months; otherwise, they are classified as non-current.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable. They are included in current assets, except for maturities greater than 12 months after the statement of financial position date. These are classified as non-current assets. The Group's loans and receivables comprise 'receivables and prepayments', 'non-current receivables and prepayments' and 'cash and cash equivalents' in the statement of financial position.

Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories. They are included in non-current assets unless management intends to dispose of the investment within 12 months of the statement of financial position date.

Notes (continued)

2 Summary of significant accounting policies (continued)

(j) Financial assets (continued)

ii) Recognition and measurement

Regular way purchases and sales of financial assets are recognised on the trade date, which is the date on which the Group commits to purchase or sell the asset. Investments are initially recognised at fair value, plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed.

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables are carried at amortised cost using the effective interest method.

Gains and losses arising from changes in the fair value of the financial assets at fair value through profit or loss' category are included in the income statement in the period in which they arise. Dividend income from financial assets at fair value through profit or loss is recognised in the income statement when the Group's right to receive payments is established.

Changes in the fair value of monetary and non-monetary securities classified as available-for-sale are recognised in other comprehensive income.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments recognised in equity are included in profit or loss.

Interest on available-for-sale securities calculated using the effective interest method is recognised in the income statement. Dividends on available-for-sale equity instruments are recognised in the income statement when the Group's right to receive payments is established.

Notes (continued)

2 Summary of significant accounting policies (continued)

(j) Financial assets (continued)

a) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

b) Impairment of financial assets

Assets carried at amortised cost

The Group assesses at the end of each reporting period whether there is objective evidence that a financial asset or Group of financial assets is impaired. A financial asset or a Group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or Group of financial assets that can be reliably estimated.

The criteria that the Group uses to determine that there is objective evidence of an impairment loss include:

a) significant financial difficulty of the issuer or obligor;
b) a breach of contract, such as a default or delinquency in interest or principal payments;
c) the Group, for economic or legal reasons relating to the borrower's financial difficulty, granting to the borrower a concession that the lender would not otherwise consider;
d) it becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
e) the disappearance of an active market for that financial asset because of financial difficulties; or
f) observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:
    - adverse changes in the payment status of borrowers in the portfolio;
    - national or local economic conditions that correlate with defaults on the assets in the portfolio.

The Group first assesses whether objective evidence of impairment exists.

The amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The asset's carrying amount is reduced and the amount of the loss is recognised in the consolidated income statement. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Group may measure impairment on the basis of an instrument's fair value using an observable market price.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the reversal of the previously recognised impairment loss is recognised in the consolidated income statement.

Notes (continued)

2 Summary of significant accounting policies (continued)

(j) Financial assets (continued)

b) Impairment of financial assets (continued)

Assets classified as available-for-sale

The Group assesses at the end of each reporting period whether there is objective evidence that a financial asset or a Group of financial assets is impaired. For debt securities, the Group uses the criteria referred to under 'assets carried at amortised cost' above. In the case of equity investments classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is also evidence that the assets are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the consolidated income statement. Impairment losses recognised in the consolidated income statement on equity instruments are not reversed through the consolidated income statement.

If, in a subsequent period, the fair value of a debt instrument classified as available-for-sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through the consolidated income statement.

(k) Accounting for leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the income statement on a straight-line basis over the period of the lease.

The Group leases certain property, vehicles and equipment. Leases of property, vehicles and equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased assets and the present value of the minimum lease payments.

Each lease payment is allocated between the liability and finance charges. The corresponding rental obligations, net of finance charges, are included in non-current liabilities. The interest element of the finance charge is charged to the income statement over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. Property, vehicles and equipment acquired under finance leases are depreciated over the shorter of the assets useful life and the lease term.

(l) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises expenditure directly incurred in purchasing or manufacturing the inventories plus an allocation of normal overhead expenditure attributable to the processes of production hence the cost is determined using standard costs that approximate actual. Net realisable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in selling and distribution. Specific provisions are made for obsolete, slow moving and defective inventories.

(m) Trade receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are a classified as current assets. If not, they are presented as non-current assets.

Notes (continued)

2 Summary of significant accounting policies (continued)

(n) Trade payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities. Payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

(o) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

(p) Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.

(q) Employee benefits

(i) Retirement benefit scheme assets

The Group operates defined benefit retirement benefit schemes for its employees. Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability/ asset recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation. In countries where there is no deep market in such bonds, the market rates on government bonds are used.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in income. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees.

The Group employees also contribute to the appropriate National Social Security Funds, which is a defined contribution schemes.

(ii) Other post-employment obligations

The Group operates an unfunded service gratuity benefit scheme for unionisable employees based on basic salary and years of service. The obligation under the scheme is recognised based on actuarial valuation. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the reporting date.

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

Notes (continued)

2 Summary of significant accounting policies (continued)

(r) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the income statement except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the reporting date in the countries where the company and its subsidiaries operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled or asset realised.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(s) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred.

Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the income statement over the period of the borrowings using the effective interest method.

(t) Dividend distribution

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

(u) Provisions

Provisions are recognised when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Notes (continued)

2 Summary of significant accounting policies (continued)

(u) Provisions (continued)

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

(v) Grants

Grants are recognised at their fair value where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions.

(i) Revenue Grants
Grants received to compensate expenses or for the purpose of giving immediate support to the company with no future related costs are recognised in the profit or loss in the year of receipt.

(ii) Capital Grants
Where a grant is related to an asset, the grant is presented in the statement of financial position and is credited to profit or loss over the periods and in the proportions in which depreciation expense on those assets they are used to finance is recognised.

3 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expected future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

Impairment losses

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances such as technological advances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

Notes (continued)

4 Financial risk management objectives and policies

The Group's activities expose it to a variety of financial risks, including liquidity risk, credit risk, and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Financial risk management is carried out by the finance department under guidance of the Board of Directors.

Market risk

(i) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The Group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes.

The Company's interest rate risk arises from long-term borrowings. Borrowings issued at variable rates expose the company to cash flow interest rate risk which is partially offset by cash held at variable rates. The Company regularly monitors financing options available to ensure optimum interest rates are obtained. At 30 June 2017, an increase/decrease by 100 basis points in interest rates would have resulted in a decrease/increase in post-tax profit of Shs 3,451,240 (2016: Shs 4,653,650).

(ii) Price risk

Price risk arises from fluctuations in the prices of equity investments. At 30 June 2017 and 30 June 2016, the Group did not hold investments that would be subject to price risk; hence this risk is not relevant.

(iii) Foreign exchange

Group

The Group undertakes certain transactions denominated in foreign currencies and is therefore exposed to foreign exchange risk primarily with respect to the Euro and the US dollar. Exchange rate exposures are managed within approved policy parameters.

At 30 June 2017, if the Kenyan Shilling had weakened/strengthened by 10% against the USD with all other variables held constant, post-tax profit for the year and equity would have been Shs 124,666,427 (2016: Shs 69,454,576) higher/lower.

Company

The company has no foreign currency denominated financial instruments and thus is not exposed to foreign exchange risks.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Credit risk

Credit risk is managed on a Group-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade and other receivables. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by the banking regulatory authority. The Group management assesses the credit quality of each customer, taking into account their financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the management. The utilisation of credit limits is regularly monitored.

The amount that best represents the Group's and Company's maximum exposure to credit risk is the carrying value of its financial assets in the statement of financial position adjusted for the following:

Group

At 30 June 2017	**Fully performing Shs'000**	**Past due Shs'000**	**Impaired Shs'000**	**Total Shs'000**
Trade receivables (Note 21)	1,040,582	194,204	244,739	1,479,525
Bank balances (Note 29)	960,295	-	-	960,295
Call deposits (Note 29)	754,460	-	-	754,460
Other receivables (Note 21)	547,165	-	-	547,165
Due from related parties (Note 33)	412,964	-	-	412,964
Provision for impairment	-	-	(244,739)	(244,739)
	3,715,466	194,204	-	3,909,670

Notes (continued)

4 Financial risk management objectives and policies (continued)

Credit risk (continued)

Group	**Fully performing Shs'000**	**Past due Shs'000**	**Impaired Shs'000**	**Total Shs'000**
At 30 June 2016				
Trade receivables (Note 21)	733,447	459,300	211,165	1,403,912
Bank balance (Note 29)	365,458	-	-	365,458
Call deposit (Note 29)	736,901	-	-	736,901
Other receivables (Note 21)	225,940	-	-	225,940
Due from related parties (Note 33)	420,752	-	-	420,752
Provision for impairment	-	-	(211,165)	(211,165)
	2,482,498	459,300	-	2,941,798

Company	**Fully performing Shs'000**	**Past due Shs'000**	**Impaired Shs'000**	**Total Shs'000**
At 30 June 2017				
Other receivables (Note 21)	45,090	-	-	45,090
Bank balance (Note 29)	1,059	-	-	1,059
Call deposits (Note 29)	289,167	-	-	289,167
Due from related parties (Note 33)	89,855	-	-	89,855
	425,171	-	-	425,171
At 30 June 2016				
Other receivables (Note 21)	25,615	-	-	25,615
Bank balance (Note 29)	574	-	-	574
Call deposits (Note 29)	271,609	-	-	271,609
Due from related parties (Note 33)	89,855	-	-	89,855
	387,653	-	-	387,653

The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due relate to trade receivables overdue between 30 to 120 days. The receivables are not impaired and continue to be paid. The credit control department is actively following these receivables. Cash deposits of Shs 31,501,131 (2016: Shs 34,709,131) and bank guarantees amounting to Shs 1,154,570,000 (2016: Shs 1,157,900,000) are held as collateral for trade receivables.

The impaired amounts are fully provided for and the amount of loss incurred dealt with in profit or loss in the year of impairment.

In determining the recoverability of a trade receivable, the Group considers any change in the credit quality of the trade receivable from the date credit was initially granted up to the end of the reporting period.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Concentration risk

The concentration risk relates to exposure on sales that the company faces on dealing with its key customers. This is analysed as follows: One customer (Kenchic Limited) accounts for 11% of the revenue of the Group (2016: 10%). This customer has a high credit rating. All other sales are to a wide unrelated customer base.

	2017 Shs'000	%	2016 Shs'000	%
Kenchic Limited	2,166,351	11%	2,033,242	10%
Others	17,939,696	89%	17,710,322	90%
	20,106,047	100%	19,743,564	100%

	2017 Shs'000	2016 Shs'000
Sales from continuing operations	19,528,785	18,947,944
Sales from discontinued operations	577,262	795,620
	20,106,047	19,743,564

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which together with management, closely monitors the Group's short, medium and long term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity Groupings based on the remaining period at end of reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

Group	1-3 months Shs'000	4-12 months Shs'000	Over one year Shs'000	Totals Shs'000
At 30 June 2017				
Liabilities:				
Trade and other payables (Note 22)	2,873,888	-	-	2,873,888
Due to affiliate companies (Note 33)	933,313	-	-	933,313
Borrowings	35,889	201,148	149,446	386,483
	3,843,090	201,148	149,446	4,193,684

Notes (continued)

4 Financial risk management objectives and policies (continued)

Liquidity risk (continued)

At 30 June 2016	1-3 months Shs'000	4-12 months Shs'000	Over one year Shs'000	Totals Shs'000
Liabilities:				
Trade payables (Note 22)	1,505,660	-	-	1,505,660
Due to affiliate companies (Note 33)	778,708	-	-	778,708
Borrowings	55,434	88,616	386,663	530,713
	2,339,802	88,616	386,663	2,815,081

	1-3 months	4-12 months	Over one year	Totals
Company				
At June 2017	**Shs'000**	**Shs'000**	**Shs'000**	**Shs'000**
Liabilities:				
Other payables (Note 22)	24,897	-	-	24,897
Due to related companies (Note 33)	242,201	-	-	242,201
	267,098	-	-	267,098
At June 2016				
Liabilities:				
Other payables (Note 22)	20,356	-	-	20,356
Due to related companies (Note 33)	208,116	-	-	208,116
	228,472	-	-	228,472

Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including 'current and non-current borrowings') less cash and cash equivalents. Total capital is calculated as equity plus net debt.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Capital management (continued)

The constitution of capital managed by the Group is as follows:

	2017 Shs'000	2016 Shs'000
Equity	5,478,955	5,696,729
Borrowings (Note 17)	345,125	465,365
Less: cash and cash equivalents (Note 29 (b))	(1,714,755)	(1,102,359)
Net debt	(1,369,630)	(636,994)
Gearing ratio	0%	0%

5 Revenue

	Group		Company	
	2017 Shs'000	2016 Shs'000	2017 Shs'000	2016 Shs'000
Analysis of sales by category:				
Human nutrition	10,906,570	10,343,352	-	-
Animal nutrition	8,435,511	8,414,230	-	-
Animal health products	186,704	190,362	-	-
Dividends	-	-	75,707	75,707
	19,528,785	18,947,944	75,707	75,707

6 Earnings per share

Basic earnings per share has been calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2017	2016
Profit for the year attributable to shareholders (Shs '000'):		
- continuing operations	139,912	329,691
- discontinued operations	(118,951)	(2,660)
	20,961	327,031
Weighted average number of ordinary shares ('000')	75,707	75,707
Basic and diluted earnings per share:		
- continuing operations	1.85	4.36
- discontinued operations	(1.57)	(0.04)
	0.28	4.32

Diluted earnings per share is the same as basic earnings per share.

Notes (continued)

7 Dividends

In respect of the current financial year, the directors propose a first and final dividend of Shs 1 (2016: Shs 1.00) per ordinary share amounting to Shs 75,706,986 (2016: Shs 75,706,986). The proposed dividend is subject to approval by shareholders at the next Annual General Meeting and has not been included as a liability in these financial statements. Payment of dividend is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders. For resident shareholders, withholding tax is only deductible where the shareholding is below 12.5%.

8 Other income

	Group	
	2017	**2016**
	Shs'000	**Shs'000**
Sale of packing material	13,901	5,631
Laboratory income	25,016	16,839
Gain on disposal of property, plant and equipment	8,678	1,216
Sundry income	16,932	15,579
	64,527	39,265

9 Segmental reporting

The principal activity of the Group continues to be the milling of wheat and maize, baking and animal nutrition products, and the distribution of animal health products. Management has chosen to organise the entity around differences in market segments served by their products into two main segments namely human nutrition and animal nutrition and health. Management considers the fact that reports regularly reviewed by the chief operating decision maker in order to allocate resources and to assess performance are based on these two operating segments. Management committee which comprises of the managing director and finance director is considered to be the key decision making organ.

Description of the types of products and services from which each reportable segment derives its revenues

Unga Group Plc has two reportable segments: human nutrition and animal nutrition and health. The human nutrition segment produces products for human consumption. The animal nutrition and health segment produces animal feed and mineral supplement products and distributes products for animal health.

Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies.

Factors that management uses to identify the entity's reportable segments

Unga Group Plc segments are strategic business units that serve different market segments. They are managed separately because each business requires different technology and marketing strategies.

Information about major customers

One customer with revenues of Shs 2,166,351 (2016: 2,033,242) under the animal health and nutrition segment accounts for more than 10% of the revenue arising from direct sales while other operating segments have none.

Notes (continued)

9 Segmental reporting (continued)

Year ended 30 June 2017	Human Nutrition	Animal Nutrition & Health	Others	Elimination	Consolidation
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Continuing operations					
Revenue from external customers	12,239,881	8,622,215	-	(1,333,311)	19,528,785
Inter-segment revenues	1,333,311	-	-	-	1,333,311
Interest income	45,368	5,770	16,277	-	67,415
Other income	45,230	19,297	-	-	64,527
Interest expense	62,649	14,284	-	-	76,933
Depreciation and amortisation	256,251	75,101	-	-	331,352
Reportable segmental profit	(12,586)	222,978	(18,110)	-	192,282
Income tax expense	69,679	61,833			131,512
Other material non-cash items:					
Reportable segment assets	7,942,601	3,250,326	-	(925,456)	10,267,471
Expenditures for reportable segment non-current assets	453,501	323,849	33,755	-	811,105
Reportable segmental liabilities	5,526,433	2,029,450	668,938	(3,436,305)	4,788,516
Discontinued operations					
Revenue from external customers	503,990	73,272	-	-	577,262
Inter-segment revenues	-	-	-	-	-
Other income	2,986	-	-	-	2,986
Interest expense	7,688	-	-	-	7,688
Depreciation and amortisation	10,752	-	-	-	10,752
Reportable segmental profit	(140,505)	21,554	-	-	(118,951)
Income tax expense	(30,857)	4,692			(25,895)
Other material non-cash items:					
Reportable segment assets	290,136	-	-	-	290,136
Expenditures for reportable segment non-current assets	12,175	-	-	-	12,175
Reportable segmental liabilities	253,420	-	-	-	253,420

Notes (continued)

9 Segmental reporting (continued)

Year ended 30 June 2016	Human Nutrition	Animal Nutrition & Health	Others	Elimination	Consolidation
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Continuing operations					
Revenue from external customers	11,318,334	8,604,593	-	(974,983)	18,947,944
Inter-segment revenues	974,983	-	-	-	974,983
Interest income	13,385	11,720	54,967	-	80,072
Other income	21,789	17,476	-	-	39,265
Interest expense	46,689	9,627	-	-	56,316
Depreciation and amortisation	173,364	84,049	-	-	257,413
Reportable segmental profit	396,516	307,853	33,715	-	738,084
Income tax expense	121,419	103,866	2,346		227,631
Other material non-cash items:					
Reportable segment assets	6,967,025	2,930,661	-	(697,903)	9,199,783
Expenditures for reportable segment non-current assets	345,880	126,500	-	-	472,380
Reportable segmental liabilities	3,982,826	1,831,452	894,616	(3,205,840)	3,503,054
Discontinued operations					
Revenue from external customers	703,509	92,112		(11,601)	784,020
Inter-segment revenues	11,601	-	-	-	11,601
Interest income	545	-	-	-	545
Interest expense	3,905	-	-	-	3,905
Depreciation and amortisation	14,337	-	-	-	14,337
Income tax expense	(905)	(118)			(1,023)
Other material non-cash items:					
Reportable segment assets	320,169	-	-	-	320,169
Expenditures for reportable Segment non-current assets	12,590	-	-	-	12,590
Reportable segmental liabilities	161,558	-	-	-	161,558

Notes (continued)

9 Segmental reporting (continued)

Other information

Year ended 30 June 2017	Revenue Shs'000	Non-current assets Shs'000
Country		
Kenya	19,528,785	3,544,407
Uganda	577,262	123,693
	20,106,047	3,668,100

Year ended 30 June 2016	Revenue Shs'000	Non-current assets Shs'000
Country		
Kenya	18,947,944	3,241,774
Uganda	795,620	138,247
	19,743,564	3,380,021

10 Finance costs

	Group		Company	
	2017	2016	2017	2016
Finance income:	Shs'000	Shs'000	Shs'000	Shs'000
Interest income on deposits	67,415	80,072	16,277	31,505
Finance costs:				
Interest expense on bank loans	19,962	23,887	-	-
Interest expense on bank overdrafts	1,884	2,069	-	-
Interest expense on trade finance	25,495	19,285	-	-
Net foreign exchange losses	29,592	11,075	-	-
	76,933	56,316	-	-

Notes (continued)

11 Breakdown of expenses by nature

	2017 Shs'000	2016 Shs'000
The profit before income tax is arrived at after charging:		
Staff costs (Note 12)	1,314,365	1,099,285
Depreciation of property, plant and equipment (Note 24)	244,860	214,667
Amortisation of prepaid operating lease rentals (Note 25)	953	4,421
Amortisation of intangible assets (Note 26)	85,539	38,235
Directors emoluments (Note 33)	16,810	9,840
Auditors' remuneration	13,683	10,799
Provision for impairment-trade receivables	33,573	7,698
Impairment of goodwill (Note 26)	150,473	-

12 Staff costs

Salaries and wages	1,258,671	1,086,571
Retirement benefit (Note 28)	32,637	(6,046)
Post-employment benefit obligation (Note 18)	10,607	20,853
Social security costs (NSSF) contributions	1,558	2,137
Accrued leave pay	10,892	(4,230)
	1,314,365	1,099,285

The average number of employees during the year was as follows:	2017	2016
Production	208	208
Sales and distribution	120	114
Management and administration	129	124
	457	446

13 Income tax expense

	2017 Shs'000	2016 Shs'000
Current income tax	47,884	241,628
Deferred income tax (Note 19)	57,733	(15,020)
Income tax expense	105,617	226,608
Income tax expense from continuing operations	105,617	226,608
Income tax expense from discontinued operations	(25,895)	(1,023)
	79,722	225,585

Notes (continued)

13 Income tax expense (continued)

The tax on the company's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2017 Shs'000	2016 Shs'000
Profit before income tax	192,282	738,084
Tax calculated at the statutory income tax rate of 30% (2016 - 30%)	57,685	221,425
Tax effects of:		
Expenses not deductible for tax purposes	49,306	14,002
Income not subject to tax	-	-
Under / (over) provision of deferred income tax in prior year	(1,374)	(8,819)
Income tax expense	105,617	226,608

14 Share capital

	Number of Shares (Thousands)	Ordinary Shares Shs'000
Authorised:		
Balance at 1 July 2015, 30 June 2016 and 30 June 2017	82,760	413,800
Issued and fully paid:		
Balance at 1 July 2015, 30 June 2016 and 30 June 2017	75,707	378,535

The total authorised number of ordinary shares is 82,760,000 with a par value of Shs 5 per share. The total number of ordinary shares issued 75,706,986 with a par value of Shs 5 per share. All issued shares are fully paid.

15 Other reserves

Other reserves comprise the following:

Year ended 30 June 2016	Property and plant revaluations Shs'000	Currency translation Shs'000	Re-measurement of retirement benefit asset Shs'000	Total Shs'000
At start of year	745,025	(20,385)	3,432	728,072
Credit to other comprehensive income	-	(4,794)	(4,459)	(9,253)
Transfer of excess depreciation	(28,530)	-	-	(28,530)
Deferred income tax on transfer	8,559	-	-	8,559
At end of year	725,054	(25,179)	(1,027)	698,848

Notes (continued)

15 Other reserves (continued)

Other reserves comprise the following:

Year ended 30 June 2017	Property and plant revaluations Shs'000	Currency translation Shs'000	Remeasurement of retirement benefit asset Shs'000	Total Shs'000
At start of year	725,054	(25,179)	(1,027)	698,848
Credit to other comprehensive income	-	(3,577)	4,217	640
Transfer of excess depreciation	(35,720)	-	-	(35,720)
Deferred income tax on transfer	10,716	-	-	10,716
At end of year	700,050	(28,756)	3,190	674,484

Other reserves as included above are non-distributable.

16 Non-controlling interests

Group	2017 Shs'000	2016 Shs'000
At start of year	2,065,309	1,929,271
Dividend paid	(40,765)	(40,765)
Share of profit for the year	(53,247)	181,785
Share of other comprehensive income	344	(4,982)
Acquisition of non-controlling interest (Note 30)	(222,497)	-
At end of year	1,749,144	2,065,309

Summary of Non-controlling interest:

Unga Holdings Limited:		
35% Equity interest held by Seaboard Corporation in Unga Holdings Limited	1,749,144	1,770,959
Ennsvalley Bakery Limited:		
Equity interest held by NAS Holdings Limited in Ennsvalley Bakery Limited – 0% (2016: 48%)	-	294,350
	1,749,144	2,065,309

Notes (continued)

16 Non-controlling interests (continued)

Summarised financial information on subsidiaries with material non-controlling interests

Unga Holdings Limited which has a 35% non-controlling interest operates as a holding company. A summary of its financial performance is set out below:

Unga Holdings Limited summarised statement of financial position

	2017 Shs'000	2016 Shs'000
Current assets	6,489,592	5,659,296
Current liabilities	(3,998,514)	(2,560,956)
Total current net assets	2,491,078	3,098,340
Non-current assets	3,664,173	3,376,094
Non-current liabilities	(856,164)	(971,166)
Total non-current net assets	2,808,009	2,404,928
Total net assets	5,299,087	5,503,268

Unga Holdings Limited summarised statement of comprehensive income

	2017 Shs'000	2016 Shs'000
Revenue	19,528,785	18,947,944
Profit before income tax	202,281	726,176
Income tax expense	(102,023)	(211,090)
Post tax profit from continuing operations	100,258	515,086
Loss for the year from discontinued operations	(118,951)	(2,660)
Other comprehensive income	984	(14,237)
Total comprehensive income	(17,709)	498,189

Unga Holdings Limited summarised cash flows

	2017 Shs'000	2016 Shs'000
Net cash generated from operating activities	1,577,274	642,875
Net cash used in investing activities	(801,853)	(470,859)
Net cash generated from financing activities	(191,113)	(290,017)
Net increase/(decrease) in cash and cash equivalent	584,308	(118,001)
Cash and cash equivalent at start of year	830,176	948,818
Net increase/(decrease) in cash and cash equivalent	584,308	(118,001)
Effect of exchange rates	10,044	(641)
At end of year	1,424,528	830,176

Notes (continued)

17 Borrowings

	Group 2017 Shs'000	2016 Shs'000
Bank loan	251,525	371,765
Other loans	93,600	93,600
	345,125	465,365
The borrowings are repayable as follows:		
Within one year	213,437	144,050
More than one year	131,688	321,315
	345,125	465,365
Movement in principal borrowings:		
At start of year	465,365	638,910
Repayments	(120,240)	(173,545)
At end of year	345,125	465,365

The borrowing facilities consist of loan from Barclays Bank of Kenya. The borrowings are secured by an all assets debenture for Shs 1.5 billion, corporate guarantees of Shs 1.5 billion and legal charges of Shs 1.5 billion over certain properties. The Group has a term loan facility of USD 7,500,000 with its bankers acquired for purposes of financing installation of a wheat milling plant. Interest is chargeable at 4% above the 3 months LIBOR rate. The loan is expected to mature in June 2020. The outstanding loan at 30 June 2017 amounted to USD 2,423,563 (2016: 3,673,563).The effective interest rate of the loan at 30 June 2017 was 4.98% (2016; 4.36%).

Other borrowings relates to a loan from NAS Holdings Limited which is unsecured and is due for repayment in the next financial year. The weighted average effective interest rates is 0% per annum (2016: 13%).

The Group has undrawn committed borrowing facilities amounting to Shs 322,048,000 and USD 1,679,147 (2016: Shs 380,000,000 and USD 2,333,333). The borrowing facilities consist of loans and bank overdrafts. Security for these borrowings includes an all assets debenture for Shs 1.5 billion issued by a subsidiary company, corporate guarantees by Group companies and legal charges over certain properties owned by subsidiary companies, and a property registered in the name of a Group company.

Notes (continued)

18 Post-employment benefits obligation– Gratuity

The Group operates an unfunded service gratuity for the unionised employees based on final salary and years of service. The movement in the obligation is as follows;

Group	2017 Shs'000	2016 Shs'000
At start of year	97,099	86,729
Charge to profit or loss	10,607	20,853
Transferred to defined benefit pension fund (Note 28)	(82,351)	-
Payments in the year	(8,204)	(10,484)
At end of year	17,151	97,098

During the year benefits accrued to unionized staff in the Group's subsidiaries, Unga Limited and Unga Farm Care (E.A) Limited, were transferred to the Groups' pension scheme, Unga Holdings Limited Staff Pension Scheme.

The balance of Shs 17.15 million at 30 June 2017 relates to the Group's contract staff and unionised staff in Ennsvalley Limited.

19 Deferred income tax

Deferred income tax is made up of the following;

	Group	
	2017 Shs'000	2016 Shs'000
Deferred income tax asset	32,734	32,276
Deferred income tax liability	(613,725)	(552,753)
Net deferred income tax liabilities	(580,991)	(520,477)

Deferred income tax is calculated using the enacted income tax rate of 30% (2016: 30%). The deferred income tax comprises the following;

	Group	
	2017 Shs'000	2016 Shs'000
At start of year	520,477	538,437
Charge / (credit) to profit or loss (Note 13)	57,733	(15,020)
Charge / (credit) to other comprehensive income	2,781	(2,940)
	580,991	520,477

Notes (continued)

19 Deferred income tax (continued)

Deferred income tax assets and liabilities, deferred income tax charge in profit or loss, and deferred income tax charge in other comprehensive income are attributable to the following items:

Year ended 30 June 2017	01.07.2016	Charged/ (credited) to P/L	(Credit) to OCI	30.06.2017
	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment				
- historical cost basis	503,486	106,342	-	609,828
- revaluation surplus	221,548	(13,478)	-	208,070
Retirement benefits scheme asset	10,111	-	2,781	12,892
	735,145	92,864	2,781	830,790
Deferred income tax assets				
Unrealized exchange losses		(40,558)	-	(52,527)
Other deductible differences	(166,536)	110,714	-	(55,822)
Interest payable	-	(50,475)	-	(50,475)
Tax losses carried forward	(36,163)	(54,812)	-	(90,975)
	(214,668)	(35,131)	-	(249,799)
Net deferred income tax	520,477	57,733	2,781	580,991

Notes (continued)

19 Deferred income tax (continued)

Year ended 30 June 2016	01.07.2015	Charged / (credited) to P/L	Credit to OCI	30.06.2016
	Shs'000		Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment				
-historical cost basis	624,808	(121,322)	-	503,486
- revaluation surplus	136,896	84,652	-	221,548
Interest receivable	13,051	-	(2,940)	10,111
	774,755	(36,670)	(2,940)	735,145
Deferred income tax assets				
Unrealized exchange losses	(19,945)	7,976	-	(11,969)
Other deductible differences	(142,246)	(24,290)	-	(166,536)
Interest payable	(12,232)	12,232	-	-
Tax losses carried forward	(61,898)	25,735	-	(36,163)
	(236,321)	21,653	-	(214,668)
Net deferred income tax	538,434	(15,017)	(2,940)	520,477

20 Inventories

Group	2017 Shs'000	2016 Shs'000
Raw materials	1,254,611	1,933,136
Finished products	160,983	356,755
Packing materials	109,678	133,504
Engineering stores	110,671	66,569
Goods in transit	685,864	72,410
	2,321,807	2,562,374

Notes (continued)

21 Trade and other receivables

	Group		Company	
	2017	2016	2017	2016
	Shs'000	Shs'000	Shs'000	Shs'000
Trade receivables	1,479,525	1,403,912	-	-
Provision for impairment losses	(244,738)	(211,165)	-	-
	1,234,787	1,192,747	-	-
VAT recoverable	245,783	232,979	-	-
Other receivables	547,165	225,940	45,090	25,615
Due from related parties (Note 33)	412,964	420,752	89,855	89,855
	2,440,699	2,072,418	134,945	115,470

Movements on the provision for impairment of trade receivables are as follows:

	Group		Company	
	2017	2016	2017	2016
	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	211,165	203,467	-	-
Provision in the year	33,573	7,698	-	-
At end of year	244,738	211,165	-	-

22 Trade and other payables

Trade payables	592,944	1,044,010	-	-
Other payables and accrued expenses	2,235,535	461,650	24,897	20,356
Deferred income- capital grants (Note 23)	45,409	-	-	-
Due to related parties (Note 33)	933,313	778,708	242,201	208,116
	3,807,201	2,284,368	267,098	228,472

Notes (continued)

23 Deferred income- capital grants

	2017 Shs'000	2016 Shs'000
Grant received in the year	45,599	-
Amortisation to profit or loss	(190)	-
	45,409	-

Capital grants relate to amounts received from the Dutch government as a partial funding for the construction of a new fish milling plant at the Dakar road premises. The grant is to be amortised over the plants' useful life.

24 Property, plant and equipment

	Buildings Shs'000	Plant and equipment Shs'000	Motor vehicles Shs'000	Work in progress Shs'000	Total Shs'000
Year ended 30 June 2016					
Cost or valuation	671,953	2,511,987	206,315	152,958	3,543,213
Accumulated depreciation	(51,626)	(412,325)	(172,297)	-	(636,248)
Opening net book value	620,327	2,099,662	34,018	152,958	2,906,965
Currency translation differences	(1,218)	(3,260)	-	(882)	(5,360)
Additions	4,611	82,096	35,183	157,628	279,518
Transfer to intangible assets	-	-	-	(34,997)	(34,997)
Disposal	-	-	(991)	-	(991)
Write-offs	-	(12,086)	-	-	(12,086)
Depreciation charge	(23,883)	(172,568)	(18,216)	-	(214,667)
Closing net carrying amount	599,837	1,993,844	49,994	274,707	2,918,382
At 30 June 2016					
Cost or valuation	671,717	2,583,887	240,486	274,707	3,770,797
Accumulated depreciation	(71,880)	(590,043)	(190,492)	-	(852,415)
Net carrying amount	599,837	1,993,844	49,994	274,707	2,918,382

Notes (continued)

24 Property, plant and equipment (continued)

	Buildings Shs'000	Plant and equipment Shs'000	Motor vehicles Shs'000	Work in progress Shs'000	Total Shs'000
Year ended 30 June 2017					
Cost or valuation	671,717	2,583,887	240,486	274,707	3,770,797
Accumulated depreciation	(71,880)	(590,043)	(190,492)	-	(852,415)
Opening net book value	599,837	1,993,844	49,994	274,707	2,918,382
Currency translation differences	(3,693)	(8,455)	(990)	(3,877)	(17,015)
Additions	306,891	396,471	28,491	59,557	791,410
Transfer from WIP	168,711	62,042	7,445	(238,198)	-
Transfer to intangible assets	-	-	-	(23,606)	(23,606)
Disposals	-	(584)	-	-	(584)
Depreciation charge	(20,748)	(201,067)	(23,045)	-	(244,860)
Closing net carrying amount	1,050,998	2,242,251	61,895	68,583	3,423,727
At 30 June 2017					
Cost or valuation	1,147,319	3,041,816	276,422	72,460	4,538,017
Accumulated depreciation	(96,321)	(799,565)	(214,527)	(3,877)	(1,114,290)
Net carrying amount	1,050,998	2,242,251	61,895	68,583	3,423,727

All buildings and the milling plant were revalued at 30 June 2013 by Knight Frank Valuers Limited, Registered Valuers and Estate Agents. Buildings were revalued on an open market value while plant and machinery were revalued on the depreciated replacement costs basis.

Included in property, plant and equipment are fully depreciated assets with a cost/valuation of Shs 232,311,872 (2016: Shs 282,982,539). The normal annual depreciation on these assets would have been Shs 64,075,172 (2016: Shs 107,266,999).

The Group has pledged assets with net book value of Shs 251,929,375 (2016: Shs 370,977,000) to secure its borrowings facilities (See note 17).

Work in progress at 30 June 2017 majorly constitutes the costs of the installation of a packaging line.

Notes (continued)

24 Property, plant and equipment (continued)

If the buildings were stated on the historical cost basis, the amounts would be as follows:

Year ended 30 June 2017	Buildings Shs' 000	Plant and equipment Shs' 000
Cost	1,052,022	2,709,481
Accumulated depreciation	(89,177)	(770,989)
Net book amount	962,845	1,938,492

Year ended 30 June 2016	Buildings Shs' 000	Plant and equipment Shs' 000
Cost	576,420	2,250,968
Accumulated depreciation	(71,880)	(590,043)
Net book amount	504,540	1,660,925

25 Prepaid operating lease rentals

Group	2017 Shs'000	2016 Shs'000
Cost		
At start of year	56,812	57,405
Currency translation differences	(834)	(593)
At end of year	55,978	56,812
Amortisation		
At start of year	27,838	25,298
Currency translation differences	(172)	(1,880)
Amortisation for the year	953	4,421
At end of year	28,619	27,839
Net carrying amount	27,359	28,973

The operating lease prepayment relates to leasehold land. The leasehold land was revalued as at 30 June 2013 by Knight Frank Valuers Limited on an open market value basis for existing use at Shs 878,500,000.

The Group has pledged leasehold land with a net book value of Shs 20,745,093 (2016 – Shs 12,127,174) to secure borrowings granted to it (See Note 17).

Notes (continued)

26 Intangible assets

	2017 Shs'000	2016 Shs'000
Computer software	166,343	208,611
Goodwill on acquisition (Note 26(b))	-	150,473
	166,343	359,084

(a) Computer software

	2017 Shs'000	2016 Shs'000
Group		
Cost		
At start of year	309,055	81,196
Additions	19,705	192,862
Transfer from WIP	23,606	34,997
At end of year	352,366	309,055
Amortisation		
At start of year	100,444	61,784
Amortisation for the year	85,539	38,235
Currency translation difference	40	425
At end of year	186, 023	100,444
Net book value	166,343	208,611

(b) Goodwill on acquisition

The goodwill relates to the acquisition of Ennsvalley Bakery Limited. The directors monitor goodwill impairment at the level of the acquired entity, being the cash generating unit (CGU) without taking into account the commercial benefit of the vertical integration of Ennsvalley Bakery Limited to the wheat milling business of Unga Limited. The recoverable amount of the cash generating unit (CGU) is determined based on value-in-use calculations which require the use of assumptions. The calculations use cash flow projections based on financial budgets approved by the management covering a five-year period.

Notes (continued)

26 Intangible assets (continued)

(b) Goodwill on acquisition (continued)

Management has determined the values assigned to each of the key assumptions used as follows:

Assumption	**Approach used to determine values:**
Sales volume	Average annual growth rate over the five-year forecast period; based on past performance and management expectations of market development.
Sales price	Average annual growth rate over the five-year forecast period; based on current industry trends and including long term country inflation forecast.
Budgeted average gross margin	Based on past performance and management expectations of the future.
Annual capital expenditure	Expected cash costs in the CGUs. This is based on the historical experience of management, the planned refurbishment, or sustaining expenditure. No incremental revenue or cost savings are assumed in the value-in-use model as a result of this expenditure.
Long term growth rate	This is the weighted average growth rate used to extrapolate cash flows beyond the budget period. The rate is based on long term growth rate forecasts for the industry.
Pre-tax discount rate	Based on specific risks relating to the industry and country. Factors considered for the industry include regulatory environment, market competition, and barriers to entry.

During the year, the goodwill on acquisition of Ennsvalley Bakery Limited was impaired following a significant deterioration of its trading performance. The group has embarked on restructuring the business.

Notes (continued)

27 Investment in subsidiaries – Company

Unquoted investment at cost in wholly owned subsidiary

	2017 Shs'000	2016 Shs'000
Unga Investments Limited	1,297,335	1,297,335

Details of the Company's subsidiaries are as follows:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Investments Limited	Kenya	Operates as a holding and an investment company.	100	22,200

Unga Investments Limited has a 65% holding in its subsidiary, Unga Holdings Limited which operates as a holding company in Kenya and has the following subsidiaries:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Limited	Kenya	Milling of wheat and maize	100%	220,000
Unga Farm Care (EA) Limited	Kenya	Manufacture of animal nutrition products and distribution of animal health products	100%	22,520
Unga Feeds Limited	Kenya	Dormant company	100%	42,300
Unga Foods Limited	Kenya	Dormant company	100%	15,400
Unga Millers (U) Limited	Uganda	Milling of wheat and maize, and distribution of animal nutrition products	100%	7,280
Ennsvalley Bakery Limited	Kenya	Manufacture and sale of cakes, breads and pastry	100%	250

On 30 June 2017, Unga Holdings Limited acquired 48% of the non-controlling interest in Ennsvalley Bakery Limited for Shs 70 million to bring the shareholding to 100% (Note 30).

Notes (continued)

28 Retirement benefits asset

The Group operates a defined benefits pension plan for employees of Unga Limited and Unga Farm Care (EA) Limited. The Scheme is registered under irrevocable trust with the Retirement Benefits Authority. The Retirement Benefits Act, 1997 ('the Act'). The retirements benefits scheme asset represents the actuarial allocation of the surplus of the fair value of the scheme assets over the value of past service pension obligations after applying an asset ceiling to the Group. An asset ceiling has been applied only to recognise the benefit arising from reduced employer contributions available to the Group as a result of the scheme being in an actuarial surplus position.

The amount included in the statement of financial position arising from the company's obligation in respect of this defined benefits pension scheme is arrived at as follows:

	2017 Shs'000	2016 Shs'000
Present value of funded obligations	562,773	197,046
Fair value of plan assets	(597,474)	(451,627)
Surplus on funded plan	(34,701)	(254,581)
Impact of asset ceiling	16,764	213,275
Retirement benefit scheme asset recognised in the statement of financial position	(17,937)	(41,306)

The movement in the retirement benefit scheme asset over the year was as follows:

Year ended 30 June 2017	**Present value of Obligation Shs'000**	**Fair value of plan assets Shs'000**	**Total Shs'000**	**Impact of asset ceiling Shs'000**	**Total Shs'000**
At start of year	197,046	(451,627)	(254,581)	213,275	(41,306)
Current service cost	35,962	-	35,962	-	35,962
Interest expense/ (income)	35,499	(69,215)	(33,716)	30,391	(3,325)
Charge to profit or loss	71,461	(69,215)	2,246	30,391	32,637
Re measurements:					
Return on plan assets	-	(3,909)	(3,909)	-	(3,909)
Change in experience	219,028	-	219,028	-	219,028
Change in assumptions	2,515	-	2,515	-	2,515
Change in asset ceiling	-	-	-	(226,902)	(226,902)
Charge to other comprehensive income	221,543	(3,909)	217,634	(226,902)	(9,268)
Contributions :					
Employee	34,335	(34,335)	-	-	-
Transfers from gratuity provision (note 18)	82,351	(82,351)	-	-	-
Payments from plan:					
Benefit paid	(43,963)	43,963	-	-	-
	72,723	(72,763)	-	-	-
At end of year	562,773	(597,474)	(34,701)	16,764	(17,937)

Notes (continued)

28 Retirement benefits asset (continued)

During the year, a full actuarial valuation of the scheme was undertaken therefore all the experience in the intervening years since the last full valuation was factored in the year. One of the key factors for the higher growth of the liability was the rates of interest declared to member balances.

Year ended 30 June 2016	Present value of Obligation Shs'000	Fair value of plan assets Shs'000	Total Shs'000	Impact of asset ceiling Shs'000	Total Shs'000
At start of year	171,436	(437,521)	(266,085)	221,025	(45,060)
Current service cost	34	-	34	-	34
Interest expense/ (income)	23,507	(59,426)	(35,919)	29,839	(6,080)
Charge to profit or loss	23,541	(59,426)	(35,885)	29,839	(6,046)
Re measurements:					
Return on plan assets	-	51,588	51,588	-	51,588
Change in assumptions	(4,199)	-	(4,199)	-	(4,199)
Change in experience	-	-	-	-	-
Change in asset ceiling	-	-	-	(37,589)	(37,589)
Charge to other comprehensive income	(4,199)	51,588	47,389	(37,589)	9,800
Contributions :					
Employee	21,703	(21,703)	-	-	-
Employer	-	-	-	-	-
Payments from plan:					
Benefits paid	(15,435)	15,435	-	-	-
	6,268	(6,268)	-	-	-
At end of year	197,046	(451,627)	(254,581)	213,275	(41,306)
Continuing operations	197,046	(451,627)	(254,581)	213,275	(41,306)

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is as follows:

At 30 June 2017

Discount rate	At current discount rate Shs ' million	1% Increase Shs ' million	1% Decrease Shs ' million
Present value of obligation	562.7	566.6	548.8
At 30 June 2016			
Present value of obligation	197.0	195.1	199

Notes (continued)

28 Retirement benefits asset (continued)

The significant actuarial assumptions were as follows;

	2017	2016
Discount rate	13.50%	14.25%
Rate of salary escalation	10%	10%
Rate of pension increases	0%	0%

Since the bulk of the benefits payable under the scheme are salary related and there are no pensions paid from the scheme, the sensitivity of the liability to a change in the salary escalation assumption is expected to be consistent with the sensitivity to the discount rates.

The plan assets are comprised of the following;

	2017 Shs'000	2017 %	2016 Shs'000	2016 %
Quoted equities	139,809	23.4%	126,456	28%
Offshore investments	20,912	3.5%	18,064	4%
Government bonds	410,465	68.7%	248,395	55%
Commercial paper and corporate bonds	23,301	3.9%	27,098	6%
Fixed and time deposits	4,182	0.7%	36,130	8%
Net current liabilities	(1,195)	(0.2%)	(4,516)	-1%
Total	597,474	100%	451,627	100%

Under the current Scheme rules, the contribution rates are expressed as a percentage of the members' basic annual salaries. The group's contribution includes a portion to cover the scheme's administrative expenses. Following the actuarial valuation done in 2016 the actuary recommended that the Group resumes making contributions from February 2017.

Through its defined benefit pension plans the Group is exposed to a number of risks, the most significant of which are detailed below:

Asset volatility

The plan liabilities are calculated using a discount rate set with reference to treasury bonds yields; if plan assets underperform this yield, this will create a deficit. The plan assets currently exceed the liabilities and this risk is therefore not considered significant.

Changes in bond yields

A decrease in treasury bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

Notes (continued)

29 Cash generated from operations

(a) Reconciliation of profit before income tax to cash generated from operations:

Group	2017 Shs'000	2016 Shs'000
Profit before income tax from continuing and discontinued operations	47,437	734,401
Adjustments for:		
Depreciation (Note 24)	244,860	214,667
Asset write-off	-	12,086
Goodwill written-off (Note 26)	150,473	-
Interest paid	47,341	49,146
Amortisation of prepaid operating lease rentals (Note 25)	953	4,421
Amortisation of intangible assets (Note 26)	85,539	38,235
Amortisation of grant	(190)	-
Gain on disposal of property, plant and equipment	(8,678)	150
Post-employment benefits obligation	(79,948)	10,369
Working capital changes:		
-inventories	240,567	(372,263)
-trade and other receivables	(368,281)	(44,030)
-trade and other payables	1,458,572	264,735
Cash generated from operations	1,818,645	911,917

Company	2017 Shs'000	2016 Shs'000
Profit before income tax	74,413	93,721
Adjustments for:		
Working capital changes:		
-trade and other receivables	(19,475)	(12,089)
-trade and other payables	38,812	24,691
Cash generated from operations	93,750	106,323

(b) For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

Group	2017 Shs'000	2016 Shs'000
Bank balances	960,295	365,458
Call deposits	754,460	736,901
Cash and cash equivalents	1,714,755	1,102,359

Notes (continued)

29 Cash generated from operations (continued)

Company	2017 Shs'000	2016 Shs'000
Bank balances	1,059	574
Call deposits	289,167	271,609
	290,226	272,183

The effective interest rate on call deposit at 30 June 2017 was 9.6% (2016: 11.5%)

30 Acquisition of non-controlling interest

On 30 June 2017, Unga Holdings Limited acquired 48% of the non-controlling interests in Ennsvalley Bakery Limited. The acquisition has been recorded as an equity transaction. The difference between the carrying amount of non- controlling interest at 30 June 2017 and the consideration payable has been recognised in equity and attributed to the equity holders of the Company.

Details of the purchase consideration and the carrying amount of non- controlling interest are as follows:

	2017 Shs'000
Carrying amount of Identifiable assets and liabilities of subsidiary at 30 June 2017	
Cash and cash equivalents	440,224
Plant and equipment	270,987
Intangible assets	462
Inventories	51,551
Trade and other receivables	276,499
Trade and other payables	(397,829)
Retirement benefit obligations	(8,410)
Borrowings	(195,000)
Deferred income tax asset	25,050
Total identifiable net assets	463,534
Carrying amount of non-controlling interest acquired (48%)	222,497
Less: consideration payable	(70,000)
Difference recognised directly in equity	(152,497)

Notes (continued)

31 Discontinued operations

On 22 June 2017, the company resolved to cease milling operations of its subsidiary Unga Millers (U) Limited while it evaluates available business remodelling options going forward. The subsidiary results for the year ended 30 June 2017 are presented as discontinued operations

An analysis of the result of discontinued operations is as follows:

	2017 Shs'000	2016 Shs'000
Revenues	577,262	795,620
Expenses	(722,108)	(799,303)
Loss before tax of discontinued operations	(144,846)	(3,683)
Current income tax credit	25,895	1,023
Loss for the year from discontinued operations	(118,951)	(2,660)
Other comprehensive income	-	-
Total comprehensive loss from discontinued operations	(118,951)	(2,660)
Attributable to owners of parent	(118,951)	(2,660)
Attributable to non-controlling interest	-	-
	(118,951)	(2,660)

a) Cash flows from discontinued operations

	2017 Shs'000	2016 Shs'000
Operating cash flows	27,522	12,013
Investing cash flows	(932)	(12,251)
Total cash flows	26,590	(238)

Notes (continued)

32 Capital commitments

Group	2017 Shs'000	2016 Shs'000
Authorised and contracted	1,465,180	560,653
Authorised but not contracted	557,474	547,976
	2,022,654	1,108,629

The bulk of the capital commitments relate to the planned installation of a wheat mill and Hostess maize flour mill in the Eldoret site and set up of a new soya bean meal processing plant.

33 Related party transactions

The Company is listed on the Nairobi Securities Exchange and the shares are widely held.

During the year the following transactions were entered into with related parties:

i) Sale of goods and services	Group		Company	
	2017 Shs'000	2016 Shs'000	2017 Shs'000	2016 Shs'000
Sale of finished goods – Kenchic Limited	2,166,351	2,033,242	-	-

ii) Purchase of goods and services from affiliates and related parties

	Group		Company	
	2017 Shs'000	2016 Shs'000	2017 Shs'000	2016 Shs'000
Raw material purchases – Seaboard Overseas	3,733,161	4,071,284	-	-
Other expenses – Seaboard Overseas	47,533	63,165	-	-
Purchase of equipment and spares – Seaboard Overseas Group	48.988	441,235	-	-
Interest charged on trade finance – Seaboard	29,137	23,190	-	-
	3,858,819	4,598,874	-	-

Seaboard is affiliated by virtue of being part of the non-controlling interest as set out in note 18. Seaboard Corporation is a company with significant shareholding in the parent company. Seaboard Overseas Limited, Seaboard Overseas Group and Seaboard Overseas Management Company are subsidiaries and divisions of Seaboard Corporation.

The group is also related to some of its customers by virtue of common shareholding. These are Kenchic Limited and NAS Holdings Limited and its affiliates.

The company is also related to one of its bankers, NIC Bank Limited by virtue of common directorships.

Notes (continued)

33 Related party transactions (continued)

iii) Key management compensation

	Group 2017 Shs'000	Group 2016 Shs'000	Company 2017 Shs'000	Company 2016 Shs'000
Salaries and other short-term employment benefits	133,298	128,683	-	-

iv) Directors' remuneration

	Group 2017 Shs'000	Group 2016 Shs'000	Company 2017 Shs'000	Company 2016 Shs'000
Fees	15,207	11,600	15,207	5,800
Other emoluments	16,810	9,840	-	-
	32,017	21,440	15,207	5,800

v) Due from related companies

	Group 2017 Shs'000	Group 2016 Shs'000	Company 2017 Shs'000	Company 2016 Shs'000
Unga Investments Limited	-	-	33,159	33,159
Unga Feeds Limited	-	-	7,000	7,000
Unga Holdings Limited	-	-	49,696	49,696
NAS Holdings Limited & its affiliates	655	655	-	-
Kenchic Limited	412,309	420,097	-	-
	412,964	420,752	89,855	89,855

vi) Due to related companies

	Group 2017 Shs'000	Group 2016 Shs'000	Company 2017 Shs'000	Company 2016 Shs'000
Unga Limited	-	-	104,982	70,897
Unga Investments Limited	-	-	136,886	136,886
Unga Farm Care (E.A) Limited	-	-	333	333
Seaboard Corporation subsidiaries & divisions	852,224	764,209	-	-
NAS Holdings Limited & its affiliates	81,089	14,499	-	-
	933,313	778,708	242,201	208,116

On 30 June 2017, Unga Holdings Limited acquired 48% of the non-controlling interests in Ennsvalley Bakery Limited. The consideration payable has been recognised and recorded as due to a related party.

vi) Bank balances

	Group 2017 Shs'000	Group 2016 Shs'000	Company 2017 Shs'000	Company 2016 Shs'000
NIC Bank	171,984	213,385	101,184	89,837

-ooo-